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Brazil Financial Institutions

The Rise (and Rise) of Nubank

Our AlphaWise survey shows Nubank as the top choice for consumers across nearly every new product decision. From primary accounts to credit, Nubank is positioned to capture a disproportionately large share of future demand — reinforcing our above-consensus estimates and bullish stock view. NU is our Top Pick.

alphawise 

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The Rise (and Rise) of Nubank — In Charts

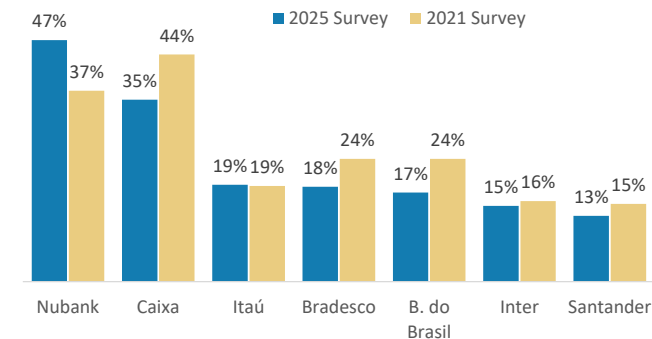
Exhibit 1: Our proprietary AlphaWise consumer survey offers a unique view of Brazil's banking business in 2025.

- 1 We survey 3,000 consumers to gain perspective on product ownership, debt leverage, share of wallet, and switching intent.
- 2 Products tested include bank accounts, credit cards, personal loans, and payroll loans.
- 3 Where relevant, we compare findings to our 2021 consumer survey.
- 4 AlphaWise ran a nationwide survey of consumers in classes A, B, and C. The sample is representative of the population at large, with a margin error of $\pm 1.5\%$ at 90% confidence level. The survey was done in March 2025.

Source: AlphaWise, Morgan Stanley Research.

Exhibit 2: Bank accounts are nearly universal — but market share is in flux.

Allocation of Total Bank Accounts

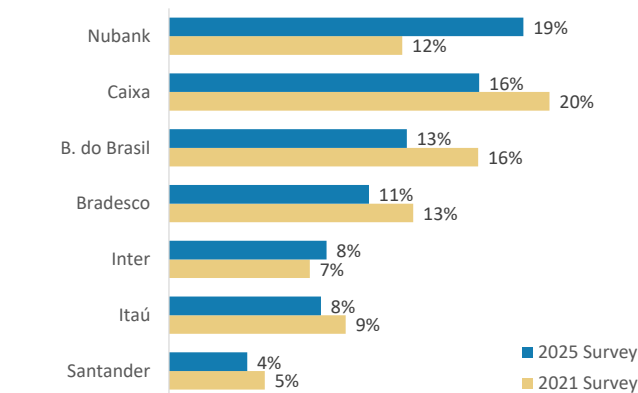


98% of consumers have a bank account, up from 97% in 2021. Also, we note large market share shifts over this period

Source: AlphaWise, Morgan Stanley Research.

Exhibit 3: Nubank is the undisputed leader in both reach and relevance.

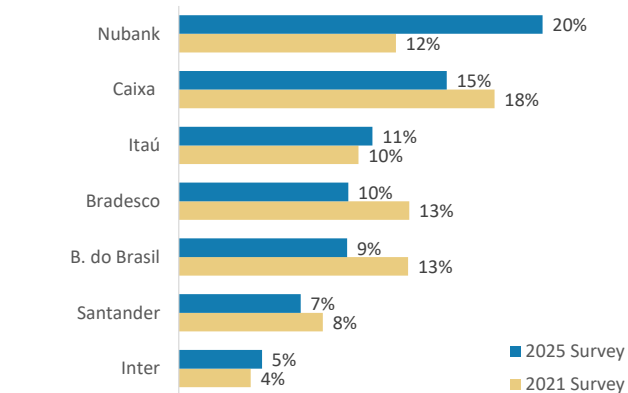
Allocation of Primary Bank Accounts



Source: AlphaWise, Morgan Stanley Research.

Exhibit 4: Nubank has become the leading destination for salary deposits — a key anchor of principalty.

Allocation of Payroll/Main Source of Income



Source: AlphaWise, Morgan Stanley Research.

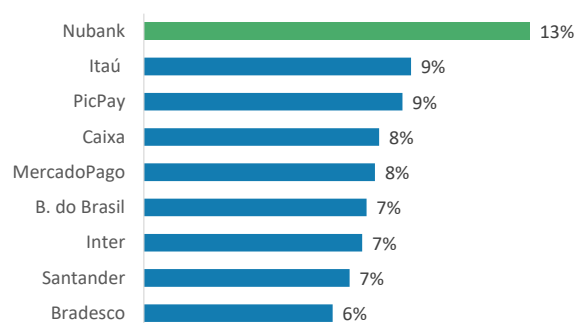
Exhibit 5: Despite its undisputed leadership in bank accounts, switching intent signals further gains for Nubank.

- 1 Around 36% of respondents are likely to change their primary bank account in the next six months.
- 2 Nubank leads as the most cited destination (12%), followed by Banco do Brasil (9%), Itaú (8%), and Inter (8%).
- 3 On the flip side, certain banks face attrition risk. C6, Banco Pan, and Inter have the highest share of clients looking to switch: C6 (46%), Banco Pan (45%), and Inter (39%).

Source: AlphaWise, Morgan Stanley Research.

Exhibit 6: Card penetration is high; nonetheless, we see strong consumer intent to open new cards. Nubank is the top destination for applications.

In which bank are you most likely to get a new credit card?

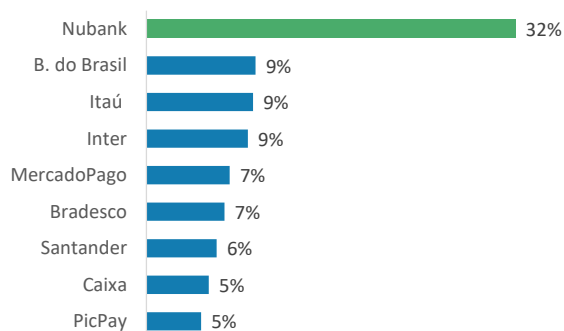


49% of consumers will likely get a new credit card in the next six months

Source: AlphaWise, Morgan Stanley Research.

Exhibit 7: In addition, Nubank is well positioned to capture the majority of card spending reallocation — challenging the bear narrative that its credit card business has peaked.

To which bank are you most likely to reallocate credit card spending?

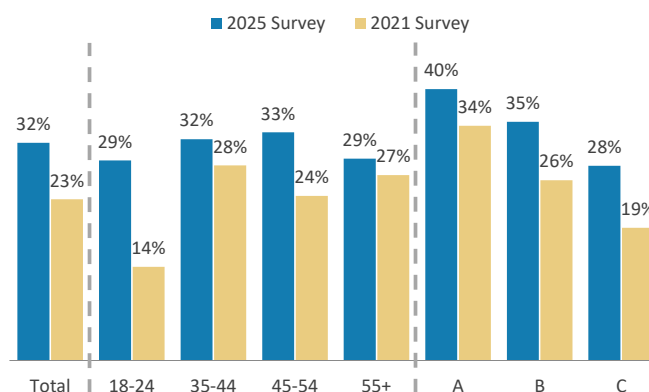


43% of consumers will likely reallocate credit card spending in the next six months

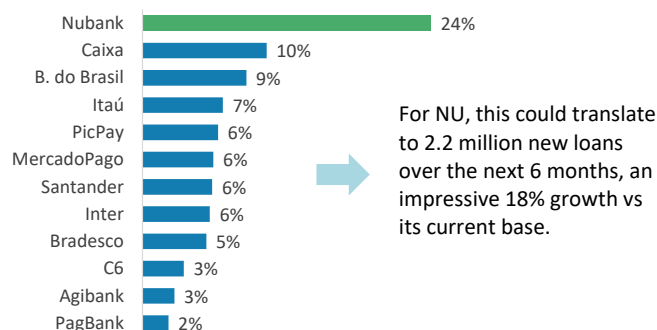
Source: AlphaWise, Morgan Stanley Research.

Exhibit 8: Personal loan penetration jumped — especially for the young and class C.

Personal Loans Penetration by Demographic Group

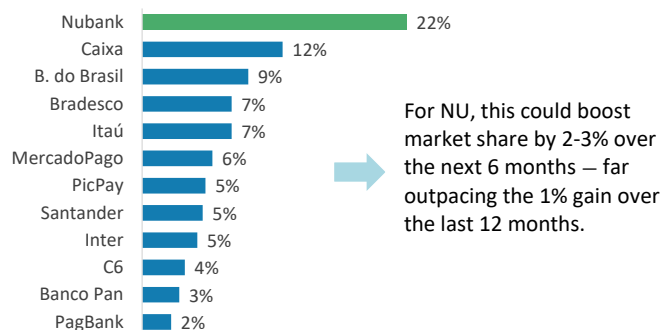


Source: AlphaWise, Morgan Stanley Research.

Exhibit 9: Nubank dominates personal loan application intent.**In which bank are you most likely to get a new personal loan?**

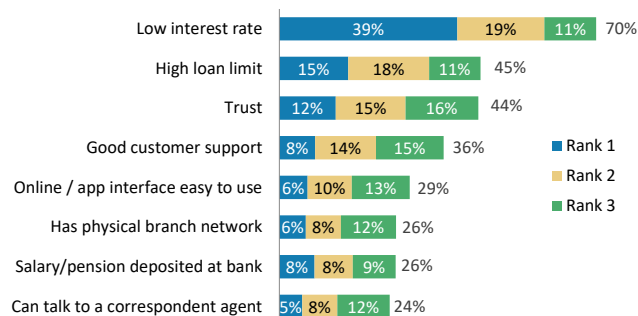
Intent to apply for a personal loan is strong, with 34% of consumers likely to apply in the next six months — a notably high figure compared to the current 31% penetration rate.

Source: AlphaWise, Morgan Stanley Research.

Exhibit 10: Nubank dominates payroll loan application intent.**In which bank are you most likely to get a new payroll loan?**

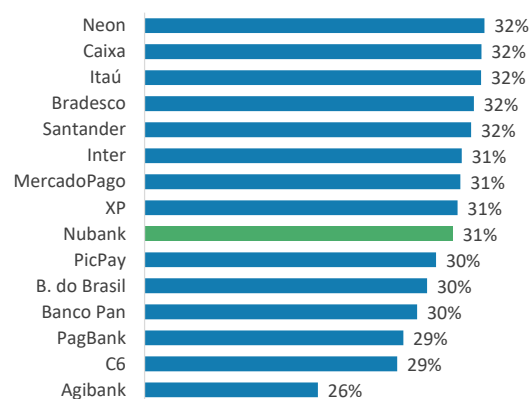
Intent to apply for a payroll loan is strong, with 30% of consumers likely to apply in the next six months — a notably high figure compared to the current 13% penetration rate.

Source: AlphaWise, Morgan Stanley Research.

Exhibit 11: Consumers want to renegotiate existing payroll loans — low prices matter most. Nubank is positioned to win.**Top 3 Factors When Choosing Where to Open a New Payroll Loan**

Intent to renegotiate is high. Our survey shows 59% of current payroll loan holders plan to renegotiate in the next 6 months.

Source: AlphaWise, Morgan Stanley Research.

Exhibit 12: Nubank's clients are not more leveraged than peers — our survey disproves the bear thesis.**Average Debt Service Ratio by Bank**

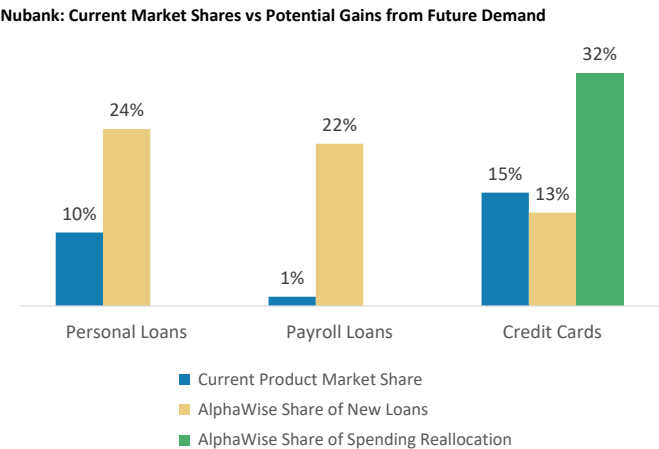
Source: AlphaWise, Morgan Stanley Research.

Exhibit 13: Nubank is our Top Pick in Latin America Financial Institutions.

- 1 NU is well positioned to build one of the largest and most valuable franchises in Latam, supported by world-class tech, exceptional customer satisfaction, market-leading pricing, and strong unit economics.
- 2 The market continues to underestimate its ability to scale profitably — especially through cross-sell in Brazil.
- 3 Our survey suggests the company can capture a disproportionately large share of future demand. Nubank is clearly far outpacing incumbent and digital peers.
- 4 Our granular, bottom-up model — built by product and by country — suggests NU could reach a US\$100 billion valuation by 2026, up from US\$60 billion today.

Source: AlphaWise, Morgan Stanley Research.

Exhibit 14: Our survey shows Nubank is positioned to capture disproportionately large share of future demand...



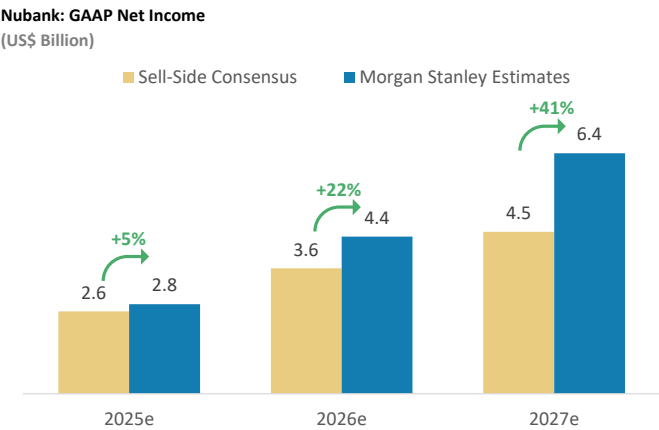
Source: AlphaWise, Morgan Stanley Research.

Exhibit 15: ... something that consensus is materially underestimating.

- 1 Most forecasters expect Nubank's payroll loan market share to reach just 3-5% by 2026. Based on our survey findings, we believe this is overly conservative. We forecast 10% — and see upside risk to that.
- 2 Our estimates for loans to individuals in Brazil — US\$13.6 bn in 2025, US\$22.9 bn in 2026, and US\$30.8 bn in 2027 — are 30 to 50% above current sell-side consensus. The sell-side forecasts imply an overly conservative market share of just 7% in 2026 and 9% in 2027, we see 11% and 14%.
- 3 Indeed, our AlphaWise survey shows consumer intent for payroll and personal loans that appears disconnected from the conservative consensus expectations.

Source: AlphaWise, Morgan Stanley Research.

Exhibit 16: Survey results reinforce our significantly above-consensus estimates.



Source: Visible Alpha, Morgan Stanley Research Estimates.

Summary & Conclusion

Our latest AlphaWise consumer survey offers a comprehensive view of Brazil's retail banking and lending landscape in 2025. The results highlight a market with rising product penetration, shifting market shares, a digital savvy consumer base, and increasing openness to challenger banks — especially Nubank, which stands out as the most consistent outperformer across categories.

NU is our Top Pick. We believe Nubank is uniquely positioned to build one of the largest and most valuable banking franchises in Latin America, supported by world-class technology, exceptional customer satisfaction, market-leading pricing, and strong unit economics. We think the market continues to significantly underestimate Nubank's ability to scale profitably — especially through deeper cross-sell in Brazil. Our proprietary AlphaWise survey suggests the company can capture a disproportionately large share of future demand — reinforcing our above-consensus estimates and bullish stock view. From leading in primary account relationships and salary deposits, to capturing the lion's share of consumer intent in credit card, personal loan, and payroll loan applications and balance transfers, Nubank is clearly far outpacing incumbent and digital peers.

Consensus remains way behind the curve, and valuation appears compelling. Our net income estimates are 5% above consensus for 2025, 22% for 2026, and 41% for 2027. At 13.7x our 2026e P/E (vs. 16.5x on consensus), NU is trading at an unjustifiably low multiple relative to its growth outlook. We forecast EPS growth of 40% in 2025, 59% in 2026, and 46% in 2027 — implying an attractively low PEG ratio of 0.3x. Our granular, bottom-up model — built by product and by country using detailed unit economics and TAM assumptions — suggests Nubank could reach a US\$100 billion valuation by 2026, up from US\$60 billion today. For details, please see [The Path to \\$100 Billion](#).

In partnership with Morgan Stanley AlphaWise, we conducted a proprietary survey of 3,000 consumers in Brazil to gain a deeper perspective of banking behavior — including product ownership, debt leverage, share of wallet, and switching intent across bank accounts, credit cards, personal loans, and payroll loans. Where relevant, we compare findings to our 2021 survey (details [here](#)). Our AlphaWise team ran a nationwide online survey targeting consumers in socioeconomic classes A, B, and C. The sample is representative of the population by age, gender, and region. The margin of error on the sample is +/- 1.5% at a 90% confidence level. The survey was conducted in March 2025.

Key Survey Findings

Nubank leads in both reach and relevance. Across deposit and lending products, Nubank was the top choice for consumers intending to apply for new products — bank accounts, credit cards, personal loans, and payroll loans alike. What makes this more notable is that Nubank is already the market leader in some of these categories, yet it continues to concentrate a disproportionate share of future intent. We think these survey findings support our above-consensus estimates.

Bank account penetration in Brazil remains nearly universal. Around 98% of respondents hold at least one bank account, a slight increase from 97% in 2021. But the story isn't about access anymore — it's about market share. And Nubank has become the undisputed leader in both total (47%) and primary account relationships (19%). Nubank's gains came largely at the expense of Caixa, Banco do Brasil, and Bradesco, while Itaú held share more effectively. Younger consumers (18-34 years old) account for a large share of Nubank's client base.

Nubank has also become the leading destination for salary deposits, now capturing 20% of reported payroll flows — a key anchor of principality. And among those considering switching their primary bank, Nubank is again the top choice, cited by 12% of respondents. With 33% of users open to switching providers, and with 65-70% of banking activity concentrated in the primary account, this reinforces Nubank's strengthening strategic positioning as the leading banking platform in Brazil.

Credit card penetration remains high — and Nubank is central. Credit cards remain the most widely adopted credit product, with penetration rising from 64% in 2021 to 71% today. Intent to apply is also strong: nearly half of respondents said they are likely to apply for a new credit card in the next six months. Despite already having the largest client base in Brazil, Nubank remains the #1 destination for new applications, capturing 13% of all likely demand — well ahead of incumbents and fintechs. Nubank also ranks highly among high-income applicants, a very positive signal for Ultravioleta.

Consumers are open to reallocating card spending — and Nubank is the top beneficiary. Nearly half of respondents said they're likely to shift spending from their current primary credit card to another card they already hold. Nubank is again the leading destination, capturing 32% of that intent — more than triple the next bank. Nubank's

outsized share of both spending reallocation and new credit card applications points to strong growth ahead, directly challenging the bear narrative that its credit card business has already peaked.

Personal loans have gained traction — especially among younger and lower-income consumers. Penetration rose from 23% in 2021 to 32% in 2025, with the largest gains seen among 18- to 34-year-olds and Class C consumers. Digital lenders appear to be the main beneficiaries of this growth, led again by Nubank. Among those likely to apply for a new personal loan, 24% cite Nubank as their preferred destination — more than double its nearest competitor. At the population level, we estimate 2.2 million potential new loans for Nubank within six months, or an impressive 18% growth vs. its current base.

Payroll loans show softening in penetration but strong forward intent. Despite a decline in overall penetration (from 15% in 2021 to 13% today), payroll loans remain popular among government workers and INSS retirees, where penetration is 27% and 34%, respectively. Importantly, intent to apply for new payroll loans is strong relative to the size of the current base — 30% of total respondents. Nubank again outperforms, capturing the top spot for likely applicants (22%) and ranking second within the government and INSS subsets (13% each). This suggests a sharp acceleration in market share. We estimate that current intent could translate into a 3% gain in government and 2% gain in INSS for Nubank within six months — far outpacing the 1% gain over the last 12 months. This reinforces our above-consensus view. While most forecasters expect Nubank's payroll loan market share to reach just 3-5% by 2026, based on our survey findings, we believe this is overly conservative. We forecast 10% — and see upside risk to that.

Renegotiation appetite is high — but incumbents risk falling behind. Nearly 60% of payroll loan holders said they are likely to renegotiate their loan in the next six months. Most prefer to do so with their existing bank, but the demand signals a market ripe for innovation. Few incumbents offer seamless digital renegotiation tools, while Nubank is already offering best-in-class digital portability, top-ups, and recontracting at scale. This gives it another edge as the market evolves. We expect Nubank to win the lion's share of payroll loan reallocations within the next 12-24 months.

Consumers prioritize price, not physical distribution. For both personal and payroll loans, interest rate was overwhelmingly the most important factor in choosing a lender, cited as top-three consider-

ation by 70% of respondents. Other factors like branch presence, salary/pension deposit relationships, and face-to-face service ranked lowest in importance. This undermines one of the key perceived advantages of incumbent banks in payroll loans and underscores why digital challengers with leading pricing, such as Nubank, will likely win outsized market share over time.

Debt leverage appears stable — even amid high interest rates. Average debt service ratios among borrowers are largely unchanged since our 2022 survey, at around 30%. This resilience is largely due to Brazil's unique credit structure — interest-free credit card payments dominate consumer debt (making up 70% of household debt service). Also, employment and real wages have held up well. Importantly, our survey indicates that Nubank's clients have debt service ratios in line with the peers, undermining the bearish view that it is overexposed to financially stretched consumers.

Our survey indicates market share losses among incumbent banks. Caixa, Banco do Brasil, and Bradesco have given up the most share in total accounts, primary, and salary relationships. In contrast, Itaú has held its customer base relatively well. Caixa and Banco do Brasil are also losing ground with younger consumers, while private-sector peers have maintained or gained share in this demographic. In lending, consumer intent to take new loans from incumbents is well below their current market shares, signaling potential attrition. For example, Itaú has 26% credit card share today but just 9% share of intent for new cards and spending reallocation. This gap between current share and future intent is consistent across incumbents and products.

Among challenger banks beyond Nubank, most are moving in the right direction, but scale remains limited. Inter has made progress in primary relationships. Meanwhile, PicPay and MercadoPago — new entrants to our survey — already have 18% and 17% consumer penetration, respectively, ranking ahead of players like Inter, Santander, and PagBank. Still, most challengers lack traction in lending. Those with 1-2% market share today typically show only 3-5% share of intent for new loans — levels unlikely to meaningfully shift the competitive landscape. Nubank stands apart, capturing 32% of consumer intent to reallocate credit card spending, 24% for new personal loans, and 22% for new payroll loans. For more on MercadoPago, see [Implications for Mercado Pago](#) by MELI's lead analyst, Andrew Ruben.

AlphaWise Brazil Consumer Banking Survey

Key Survey Insights

Top-down industry trends are mostly stable vs. our 2021 survey across key metrics:

- Vast majority (98%) of consumers in Brazil have a bank account, averaging 2.6 accounts (in-line with '21 survey).
- Half of consumers have investment/savings account(s); similar to 54% in '21 survey. Ownership of deposit/checking/debit accounts went down to 33% this year vs. 42% in '21, decreasing across most demographic segments. While overall loans are at par with 2021 (47% vs. 43% in '21), ownership of personal loans went up to 32% (vs. 23% in '21), driven primarily by an increase in share among younger consumers. In general, loan ownership among younger consumers saw an uptick across loan types compared to '21.
- Generally, consumers don't want to go through the hassle of changing their primary bank; only 11% are "very likely" and 25% "somewhat likely" to move their primary bank account to a different bank in the next 6 months (comparable to the 2021 survey at 10%/22%, respectively).
- When it comes to renegotiating payroll loans, one third of loan holders would be "very likely" and another 26% "somewhat likely" to renegotiate an existing payroll loan over the next 6 months. However, among these consumers, a vast majority (~80%) would prefer to renegotiate with their existing bank.
- Consumers report, on average, 30% of their total household income to be going toward debt payments, which is in-line with our past survey and similar across demographic segments.

Market share is shifting across individual names:

- **Nubank gained share since our survey from 4 years ago, moving to the leadership position** with 47% of bank customers (vs. 37% in '21) and a subset of 19% of customers citing it as their primary bank (vs. 12%). Additionally, 20% (up from 12% in '21) deposit their salary/income at the bank.
 - Has favorable demographic profile with a higher skew of younger customers.
 - Along with a higher customer base, share allocation across products went up at Nubank: checking/deposits (19% vs. 16% in '21), savings/investments (21% vs. 16%), loans (25% vs. 6%) — driven primarily by an increase in personal loans.
 - Over 70% of Nubank customers have a credit card (highest among banks tested) with share allocation of overall credit card spending at 36%, outperforming other banks tested by a large margin. Nubank is also the top choice among consumers likely to get a new card or those looking to switch their primary credit card spending.
 - 22% of consumers who expect to get a new payroll loan in the next six months are most likely to choose Nubank, making it the leader by a wide margin.
 - Nubank still has ample room for growth to convert higher share of current customers to primary users and by acquiring new customers (especially the first-time bankers).
- **Banco do Brazil ticked down in the share of primary customers, but holds the number three positioning.** 13% (down from 16% in '21) of consumers consider it to be their primary bank and 17% (down from 24%) are broader customers.
 - Has highest share of 55+ year old customers (24%).
 - Bank's primary customers skew higher vs. other banks on the use of deposit/checking, pension, payroll loans and insurance products.
 - Banco do Brasil has the highest percentage of customers who consider it to be their primary bank, at 73%. It was also the leader in our 2021 survey at 69%.

- **Caixa Economica Federal posted material drop in the share of customers**, from 20% of primary customers in '21 to 16% this year, and 44% down to 35% in the overall customers.
 - Caixa customers skew older compared to other banks tested.
 - Similar to the 2021 survey, over half (54%) of consumers with Caixa primary bank account also have investment/savings account with the bank; but the incidence of bank's credit card is the lowest across banks tested.
 - Share allocation for savings/investment activity is still highest (at 23%), albeit down vs. '21 (28%).
- **Itaú holds steady** with 19% overall customer base and 8% share of primary customers (in-line with 2021).
 - While Itaú's customers skew older versus all digital banks tested, it outperforms the incumbents with relatively younger customers. Also, Itaú has the highest share of class A customers (13%) among all digital and legacy banks.
 - Itaú was the only incumbent able to defend salary accounts versus our last survey.
 - On the negative side, Itaú underperforms on consumer intent around new products and balance reallocations for most credit products we tested.
- **Bradesco shrank** in the overall customer base (18% in '25 vs. 24% in '21) and primary customers (11% vs. 13%). It also lost share of salary accounts (10% vs. 13%).
 - Bradesco also underperforms on consumer intent around new products and balance reallocations for most products we tested.
- **Banco Inter continues moving in the right direction**. It has 15% overall customer base and 8% share of primary customers (up 1 point from 2021).
 - Inter has high share of younger consumers and skews higher income (i.e., less Class C) than most digital peers. On the negative side, Inter has high share of single product clients (63%).
 - Inter ranks well on intent for new products and balance reallocation except on cards, where its second most likely bank to lose spending.
- **Digital platforms PicPay and MercadoPago are getting traction**. PicPay has 18% of consumers using the bank for any service, but only 3% who consider it to be their primary bank. Similarly, MercadoPago has 17% overall customers and a subset of 5% who consider it to be their primary bank.
 - PicPay has highest share of younger consumers, but also skews lower income (Class C). MercadoPago also skews toward a younger customer base.
 - Given the prominent digital offering, both platforms over-index on having primary customers who use banks' shopping/e-commerce products.

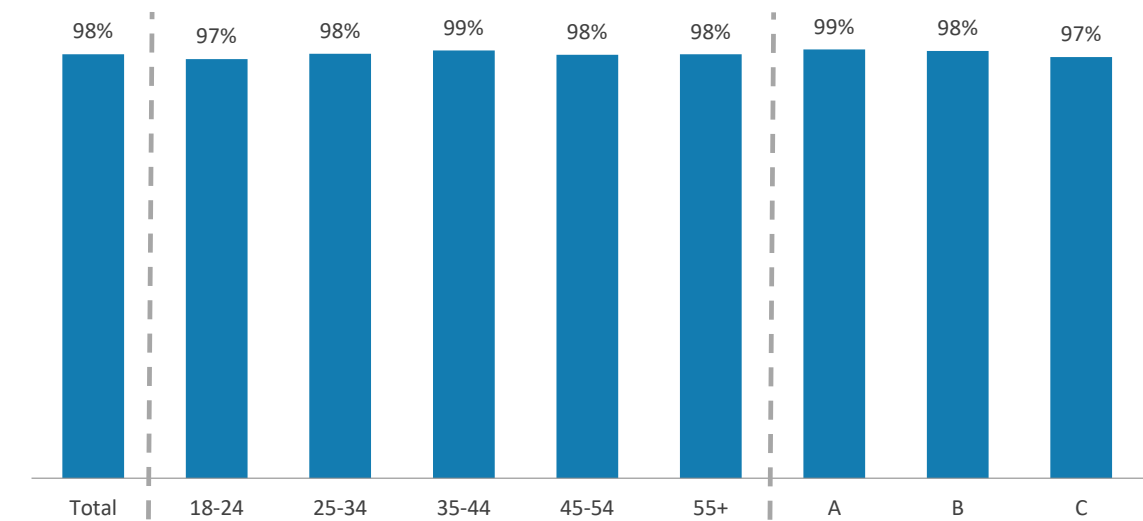
AlphaWise Survey — Bank Accounts

Bank Accounts

- **Bank account ownership is nearly universal**, with 98% penetration across all income classes and age groups — up from 97% in 2021.
- **Strong intent to open accounts remains**, as 72% of non-account holders say they are likely to open one over the next six months — up 4 points vs. 2021.
- **Nubank and Caixa are top picks for new accounts**, each capturing 20% of likely new customers; Nubank jumped 10 points since 2021.
- **Nubank leads in primary relationships**, with 19% of respondents naming it their main bank — up from 12% in 2021.
- **Nubank tops payroll deposits and switching intent**, with 20% share of salary deposits and 12% of those likely to switch choosing Nubank.

Bank account penetration remains extremely high... A vast majority, 98%, of consumers in our sample report having a bank account, up slightly from 97% in our 2021 survey. Penetration is consistently high (97-99%) across all socioeconomic classes (A, B, and C) and all age brackets.

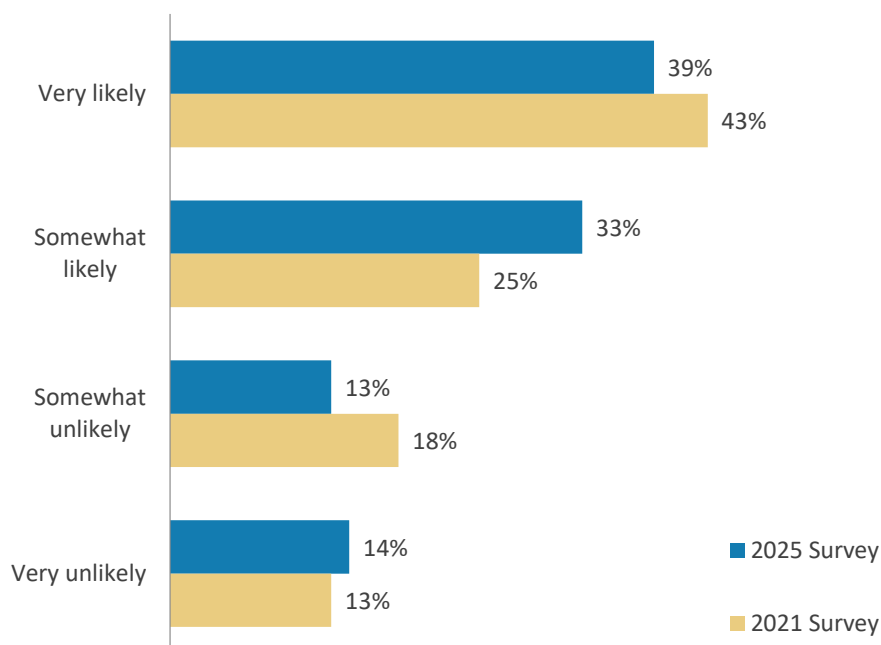
Exhibit 17: Bank Account Ownership by Age and Income (2025)



Source: AlphaWise, Morgan Stanley Research.

... but non-account holders show strong intent to enter the system. Despite high account penetration, 72% of respondents without a bank account say they are likely ("very" or "somewhat") to open one in the next six months — an increase from 68% in 2021.

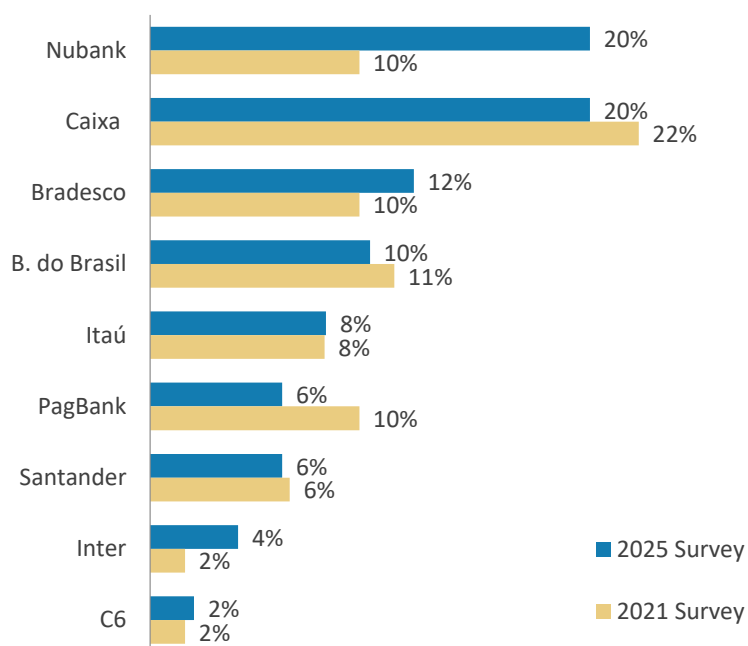
Exhibit 18: Likelihood to Open a New Bank Account in the Next 6 Months (Among Non-Account Owners)



Source: AlphaWise, Morgan Stanley Research.

Nubank and Caixa are the top destinations for new accounts. Among consumers intending to open a new bank account, Nubank and Caixa lead with 20% each, followed by Bradesco (12%) and Banco do Brasil (10%). Nubank also saw the largest gain in interest, up 10 percentage points from 2021. Most other digital players show marginal interest with non-account holders (e.g., PagBank 6%, Inter 4%, and C6 2%).

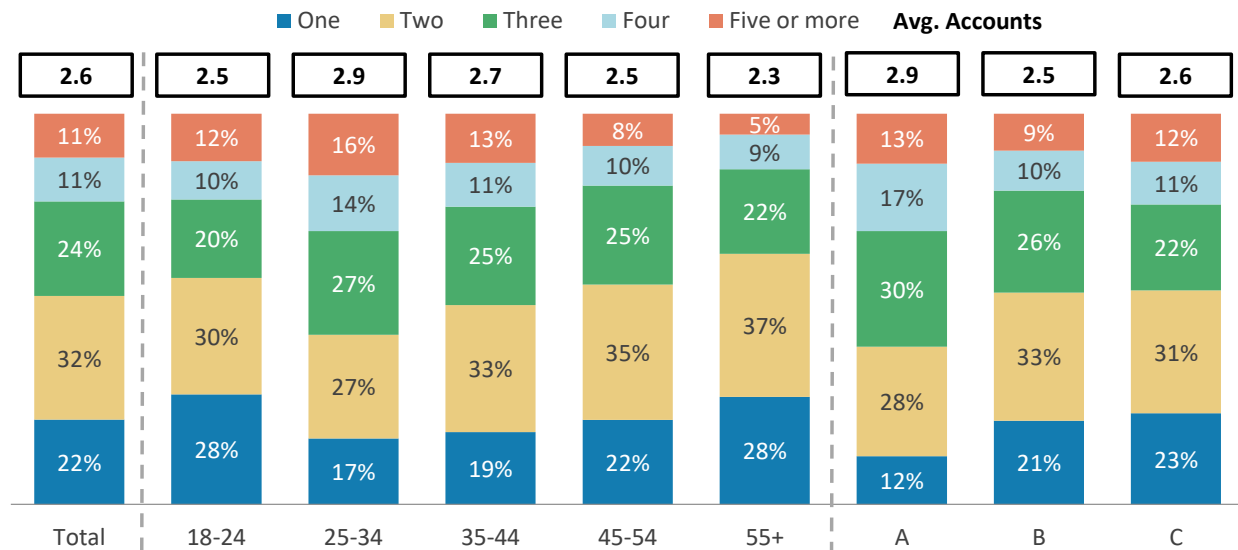
Exhibit 19: Bank Account of Choice Among Non-Account Owners



Source: AlphaWise, Morgan Stanley Research.

Multiple bank accounts are common, especially among affluent and younger users. The average consumer holds 2.6 accounts, unchanged since 2021. Class A consumers and individuals aged 25-44 are more likely to hold multiple accounts, with 88% and 81-83%, respectively, having two accounts or more.

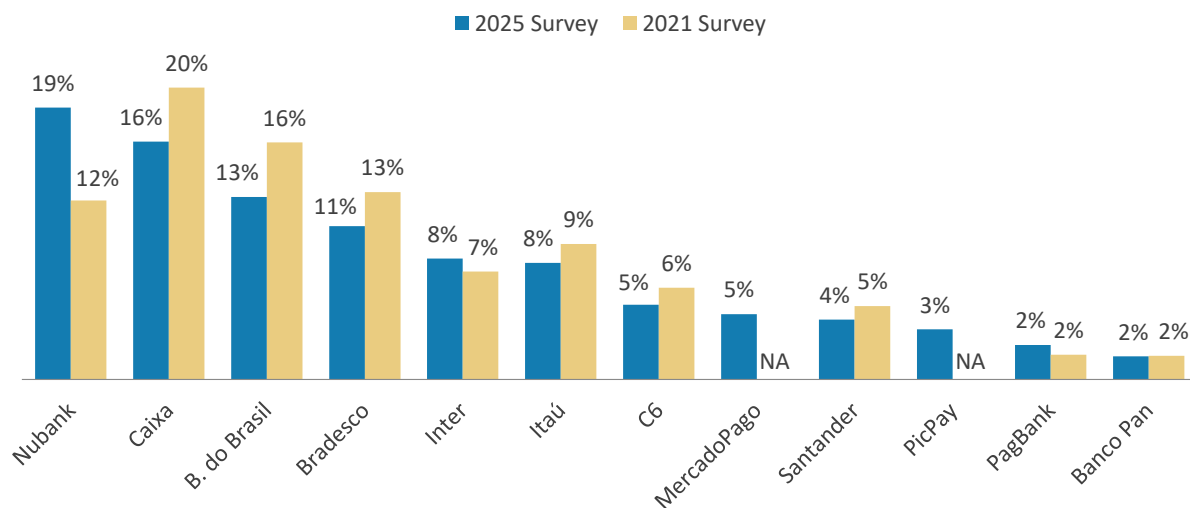
Exhibit 20: Number of Bank Accounts Owned



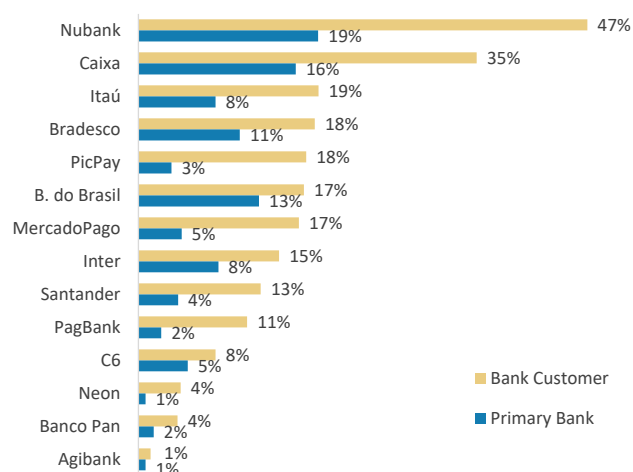
Source: AlphaWise, Morgan Stanley Research.

Nubank leads banking relationships. Nubank is now *by far* the top provider of both total and primary bank accounts, with 47% of respondents having a Nubank account and 19% identifying it as their primary bank. Nubank experienced the largest improvement since our last survey — up 10 percentage points (37 to 47%) in total accounts and up 6 percentage points (from 12% to 19%) in primary accounts. On the flip side, the biggest share donors over the last four years were Caixa, Banco do Brasil, and Bradesco. Meanwhile, Itaú was the incumbent that best defended market share.

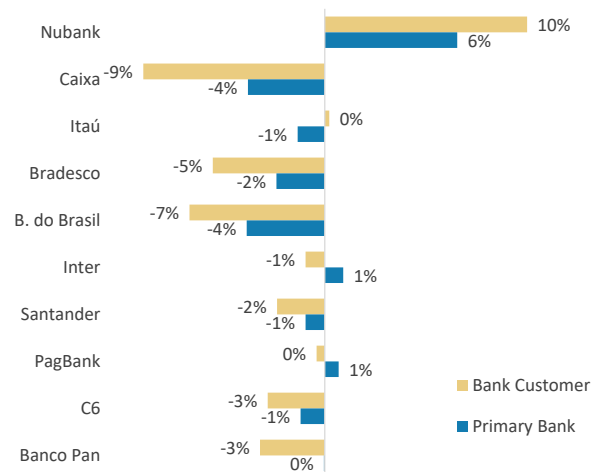
Exhibit 21: Share of Primary Bank Account Holders



Source: AlphaWise, Morgan Stanley Research.

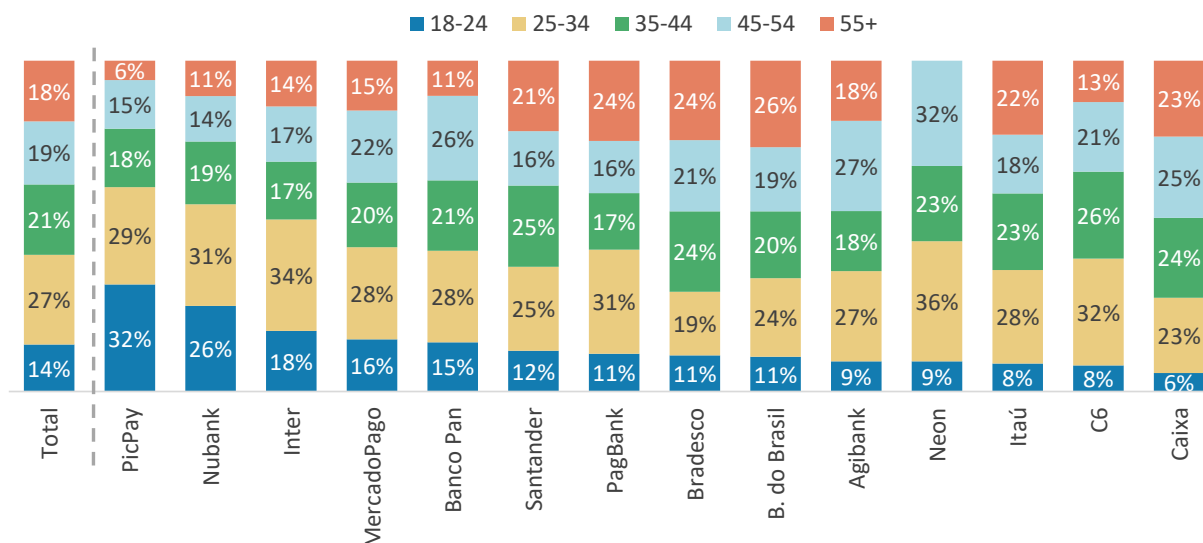
Exhibit 22: Share of Total & Primary Bank Accounts, 2025

Source: AlphaWise, Morgan Stanley Research.

Exhibit 23: Change in Share of Bank Accounts, 2025 vs. 2021

Source: AlphaWise, Morgan Stanley Research.

We found notable demographic differences by primary account provider. Nubank's primary account holders tend to skew younger, with 57% of clients between 18 and 34 years old. Most other digital challengers (e.g., Inter, C6, PicPay), also have young customer bases. On the other hand, primary account holders at the large incumbent banks tend to skew older, with 65-70% of primary account holders 35 years old and above. Interestingly, compared to our 2021 survey, the skew of older clients at some incumbents continued to grow.

Exhibit 24: Age Distribution of Primary Customers

Source: AlphaWise, Morgan Stanley Research.

Notably, incumbent banks show divergent trends in attracting and retaining younger customers since our last survey. Private sector incumbents — Bradesco, Itaú, and Santander — have held or grown their share of 18- to 34-year-olds in both total and primary customer bases. In contrast, government incumbents — Banco do Brasil and Caixa — have lost ground with this group. We believe stronger digitalization efforts among private banks have helped them better engage the tech-driven younger generation.

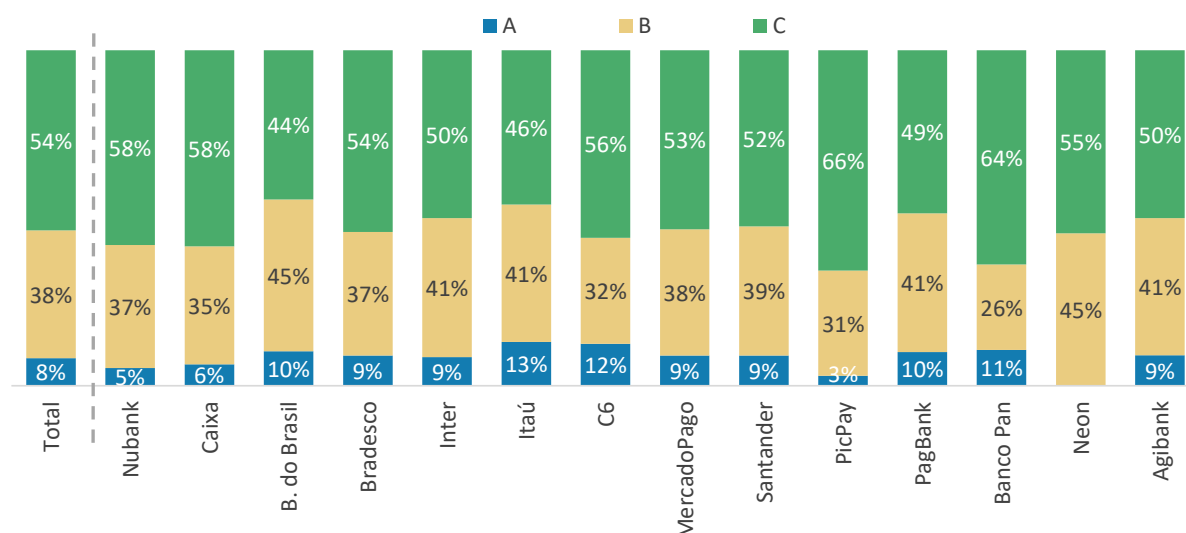
Exhibit 25: Incumbent Banks: Share of Customers Between the Ages of 18-34

	B do Brasil	Caixa	Bradesco	Itaú	Santander
Bank customer - 2025	39%	33%	36%	39%	45%
Bank customer - 2021	41%	37%	34%	37%	35%
2025 vs 2021	-3%	-4%	2%	2%	11%
Primary customer - 2025	34%	28%	30%	37%	38%
Primary customer - 2021	37%	35%	30%	36%	32%
2025 vs 2021	-3%	-7%	0%	0%	5%

Source: AlphaWise, Morgan Stanley Research.

Differences in clients by income bracket are also relevant. PicPay and Banco Pan skew lower income, with the largest representation of Class C primary account holders (64-66%) and lower representation of Class A primary account holders. Itaú and Banco do Brasil skew wealthier with lower representation of Class C primary account holders (44-46%) and higher representation of Class A holders (10-13%).

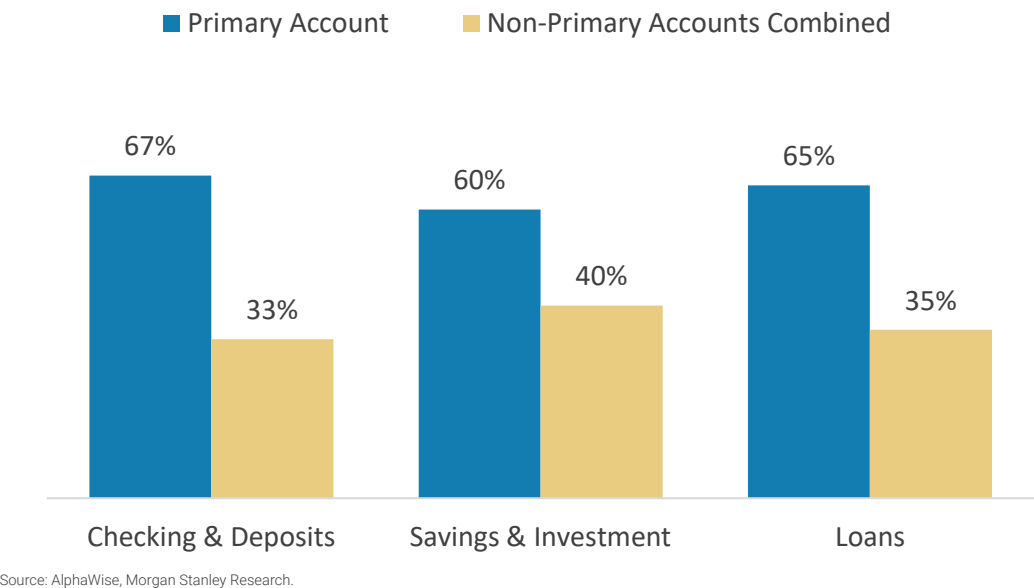
Exhibit 26: Income Distribution of Primary Customers



Source: AlphaWise, Morgan Stanley Research.

Primary banks dominate consumer banking activity... Consumers allocate an average of 65-70% of their financial activity (deposits, savings, and credit) to their primary account, while the remaining 30-35% is shared among all non-primary accounts combined. This underscores the importance of gaining principality in banking.

Exhibit 27: Allocation of Banking Activity by Type of Account



... and Nubank continues to outpace the peers. As mentioned before, Nubank has the largest share of primary accounts (19% of the total) — far ahead of all incumbent and digital competitors. We also looked at the "quality" of the client base by measuring the percentage identified as primary accounts. Based on this metric, Nubank not only ranks high up in the list, but also had one of the largest improvements from our 2021 survey, up 7 points to 40% of total clients.

Consumers relationships often span multiple products from the same bank. It's common for consumers to use the same bank for both primary and secondary accounts (e.g., checking and savings). Nubank and Caixa frequently appear as either a primary or secondary account across top combinations. In other words, not only do Nubank and Caixa have the largest share of clients and primary accounts in our survey, but also they have the most frequent number two account when someone else has the primary banking relationship.

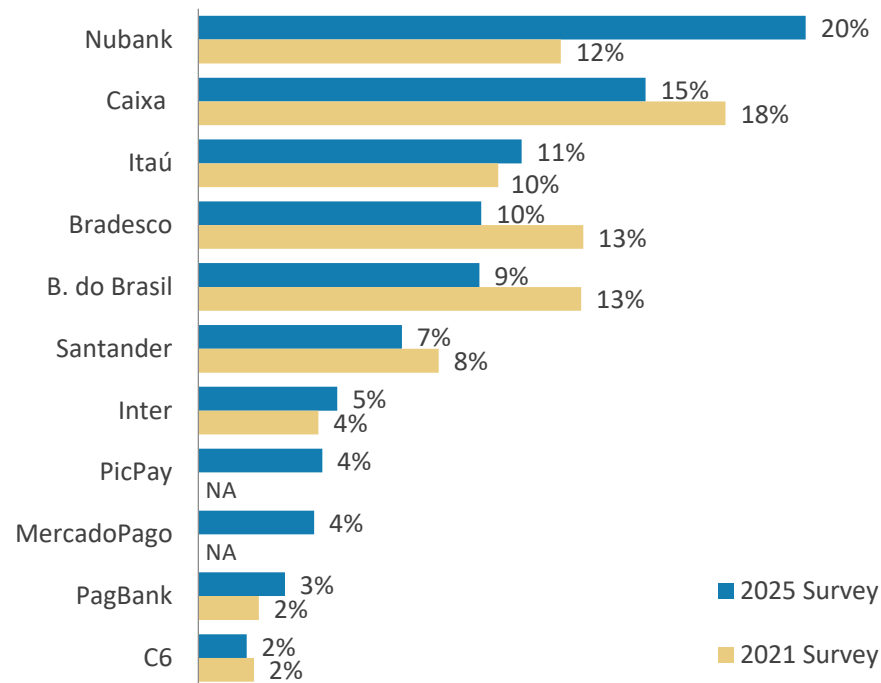
Exhibit 28: How banks compete for bank account ownership

Primary Account	Nubank (19%)	Caixa (16%)	B. do Brasil (13%)	Bradesco (11%)	Inter (8%)	Itaú (7%)	C6 (5%)	MercadoPago (5%)
Second Bank (Top 3 Banks)	Caixa (19%)	Nubank (31%)	Nubank (22%)	Nubank (23%)	Caixa (23%)	Nubank (29%)	C6 (21%)	Nubank (35%)
	Nubank (16%)	Caixa (16%)	Caixa (16%)	Caixa (20%)	Nubank (18%)	Itaú (15%)	Nubank (15%)	MercadoPago (23%)
	PicPay (11%)	MercadoPago (9%)	B. do Brasil (16%)	Bradesco (13%)	Inter (11%)	Caixa (15%)	Caixa (11%)	PicPay (14%)

Source: AlphaWise, Morgan Stanley Research.

Payroll deposits are key to primary banking status — and Nubank dominates. Our survey shows that roughly 70% of payroll income is deposited into the primary account. Nubank is now the top destination for payrolls, with 20% share of salary deposits, up 8 points since 2021. Caixa, Bradesco, and Banco do Brasil all lost share. Itaú was the incumbent that defended share best.

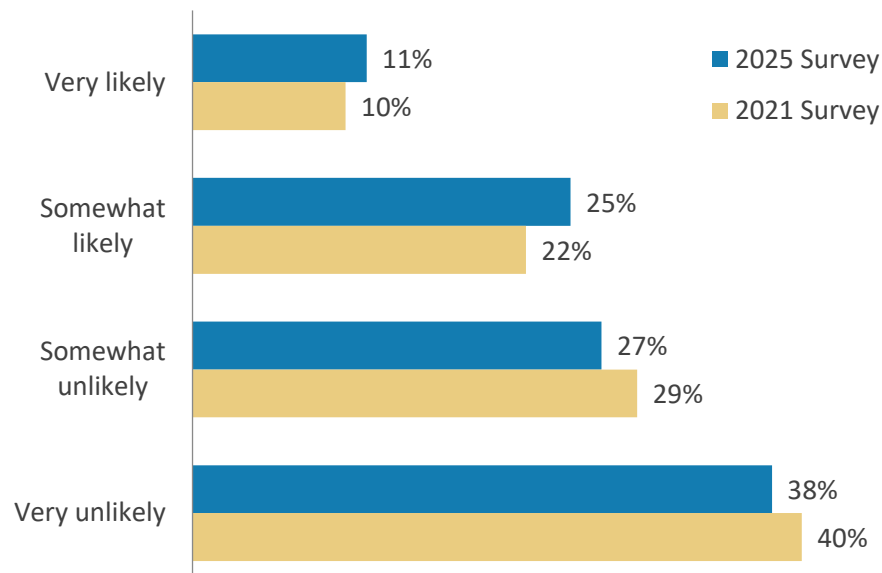
Exhibit 29: Market Share of Payroll/Main Source of Income by Bank Account



Source: AlphaWise, Morgan Stanley Research.

Nubank is the top choice for consumers considering a switch. About 36% of respondents are likely ("very" or "somewhat") to change their primary bank account in the next six months. Nubank leads as the most cited destination (12%), followed by Banco do Brasil (9%), Itaú (8%), and Inter (8%).

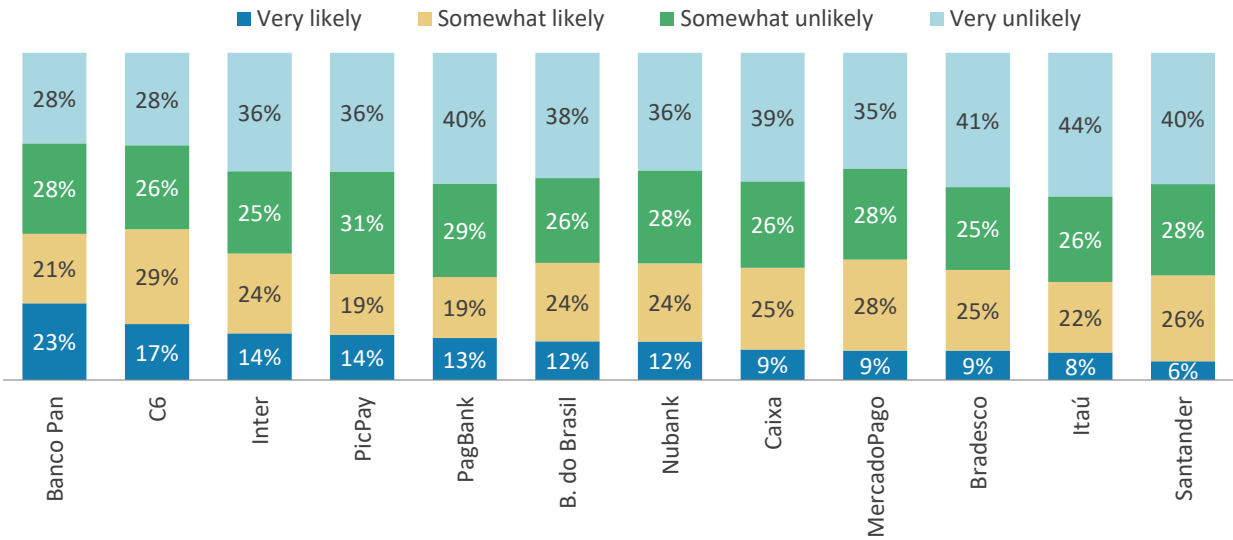
Exhibit 30: Likelihood to Move Primary Bank Account



Source: AlphaWise, Morgan Stanley Research.

Certain banks face higher attrition risk. C6, Banco Pan, and Inter have the highest share of clients likely to switch. Among their current primary customers, 46%, 45%, and 39%, respectively, say they may move to another bank in the next six months.

Exhibit 31: Likelihood to Lose Primary Bank Account



Source: AlphaWise, Morgan Stanley Research.

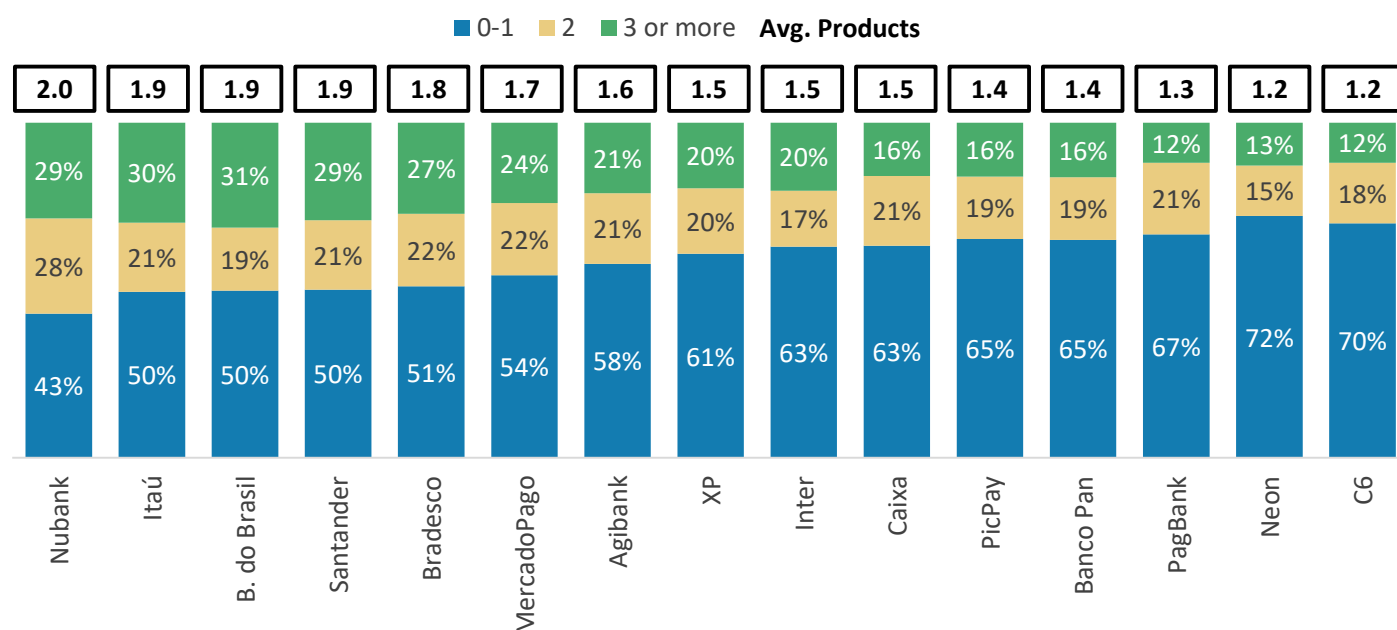
AlphaWise Survey — Cross-Selling

Cross-Selling

- **Challenger banks lag incumbents in cross-sell depth:** 18% of clients hold 3+ products vs. 27% at incumbents. Nubank stands out with 29%, matching top legacy banks.
- **Primary banking drives deeper product usage:** 31% of primary clients at incumbents and 24% at challengers hold 3+ products.
- **Incumbents lead in higher-margin products, but challengers dominate cards.** Incumbents lead in pension, insurance, and non-card loans; challengers excel in cards, with Nubank at 74% penetration — far above peers.

Challenger banks trail incumbents in product penetration, signaling attractive cross-selling potential. On average, 27% of clients at large incumbent banks hold three or more products from the same institution, compared to just 18% at challenger banks. Banco do Brasil leads incumbents with 31%, followed by Itaú (30%), Santander (29%), and Bradesco (27%). Caixa lags at 16%. Among challengers, Nubank stands out with 29% of clients holding three or more products — on par with incumbents and well above the challenger average of 18%. Mercado Pago (24%), Agibank (21%), and Inter (20%) follow. On the flip side, Inter, PagBank, PicPay, Neon, and Banco Pan have the highest share of single-product clients, with 42-45%.

Exhibit 32: Number of Products per Client



Source: AlphaWise, Morgan Stanley Research.

Primary account status drives deeper product relationships. Consumers who name a bank as their primary institution are significantly more likely to hold three or more products from it. Among incumbents, 31% of primary clients have three or more products, versus 27% for the full client base. Among challengers, the figures are 24% and 18%, respectively.

Incumbents lead in higher-margin products, but challengers dominate cards. Incumbents have broader penetration of non-card lending, insurance, and pension products — key areas for profitability and retention. For example, incumbents average 6% penetration in pension products and 10% in insurance, versus 2% and 6% at challengers, respectively. However, credit card penetration is similar overall (43% incumbents vs. 45% challengers), with Nubank far ahead at 74%. Challenger banks outperform slightly in e-commerce marketplaces (14% vs. 11%), though this segment tends to be lower margin due to shared fees and promotional incentives.

Exhibit 33: Product Penetration by Company

	Credit Cards	Loans								Pension	Insurance	E-commerce marketplace
		Payroll	Mortgage	Home Equity	Personal	Car Loan or Leasing	Business	Overdraft	Other Loan			
B. do Brasil	45%	13%	4%	6%	20%	4%	4%	16%	5%	6%	11%	13%
Itaú	50%	11%	4%	4%	19%	3%	4%	23%	2%	6%	12%	10%
Santander	55%	10%	4%	4%	17%	3%	3%	18%	3%	5%	11%	13%
Bradesco	42%	9%	4%	2%	18%	2%	4%	15%	4%	5%	10%	11%
Caixa	24%	5%	8%	2%	9%	1%	3%	7%	3%	8%	6%	8%
Nubank	74%	5%	2%	2%	27%	1%	3%	4%	4%	2%	8%	19%
Inter	47%	4%	2%	3%	9%	1%	3%	5%	3%	2%	9%	15%
PicPay	42%	4%	3%	3%	15%	1%	3%	3%	4%	2%	4%	17%
PagBank	38%	4%	2%	2%	5%	0%	1%	3%	4%	2%	6%	15%
MercadoPago	47%	3%	2%	2%	27%	1%	3%	3%	5%	1%	4%	26%
Banco Pan	46%	7%	1%	6%	16%	7%	2%	4%	8%	0%	4%	7%
XP	35%	2%	9%	7%	7%	0%	0%	2%	2%	7%	4%	9%
Neon	47%	4%	2%	1%	10%	3%	5%	1%	3%	2%	5%	10%
C6	40%	4%	6%	6%	9%	4%	2%	4%	2%	1%	6%	9%
Agibank	37%	24%	3%	5%	29%	5%	3%	5%	8%	3%	11%	11%

Source: AlphaWise, Morgan Stanley Research.

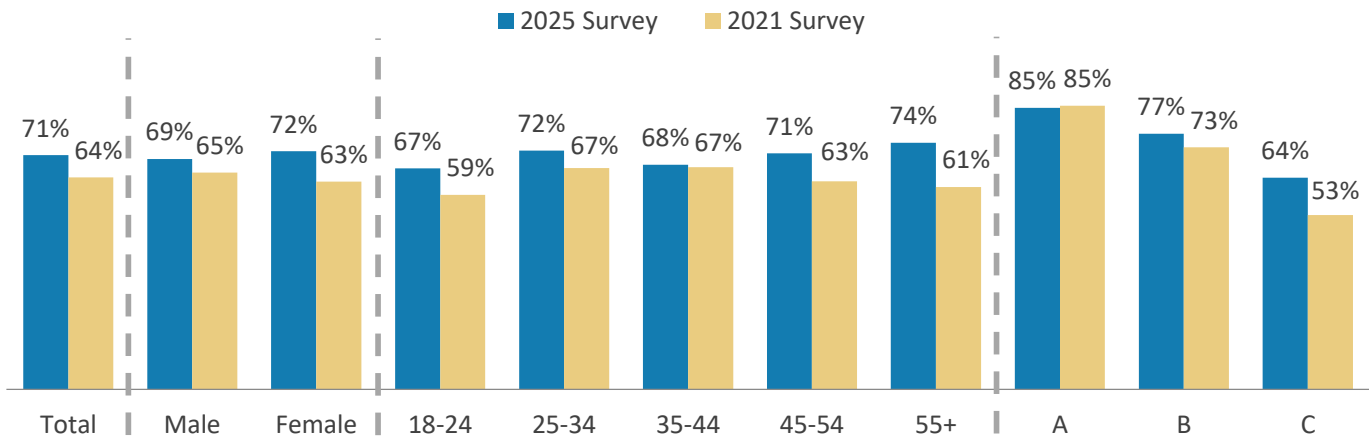
AlphaWise Survey — Credit Cards

Credit Cards

- **Credit card penetration is high and rising, reaching 71% in 2025**, up from 64% in 2021. The biggest gains came from Class C, which rose 11 points to 64%.
- **Strong intent to open new cards signals further growth**, nearly half (49%) of consumers are likely to apply for a new card, pointing to 25 million new cards — 17% growth over the current base.
- **Nubank leads as the top destination for new cards**, with 13% share, translating to 3.2 million potential new cards and 7% growth over the next 6 months. Nubank also ranks highly among high-income applicants — very positive signal for Ultravioleta.
- **Card spend is concentrated in the primary account** — Nubank primary clients allocate 84% of their card spend to Nubank, far outpacing the peers.
- **Consumers are actively reallocating card spending — Nubank again top choice**. 43% plan to shift card spending, and 32% chose Nubank, over 3x more than any other bank, signaling strong ongoing momentum — countering a key bear argument on slowing card business.

Credit card penetration is high and rising. A total of 71% of survey respondents reported owning a credit card, up from 64% in our 2021 survey. Penetration varies by socioeconomic class — 85% for Class A, 77% for in Class B, and 64% for Class C. The most significant gains came from Class C, expanding 11 points since 2021 (to 64% from 53%). Credit card usage is also widespread across age groups, with penetration highest among those aged 55+, at 74%.

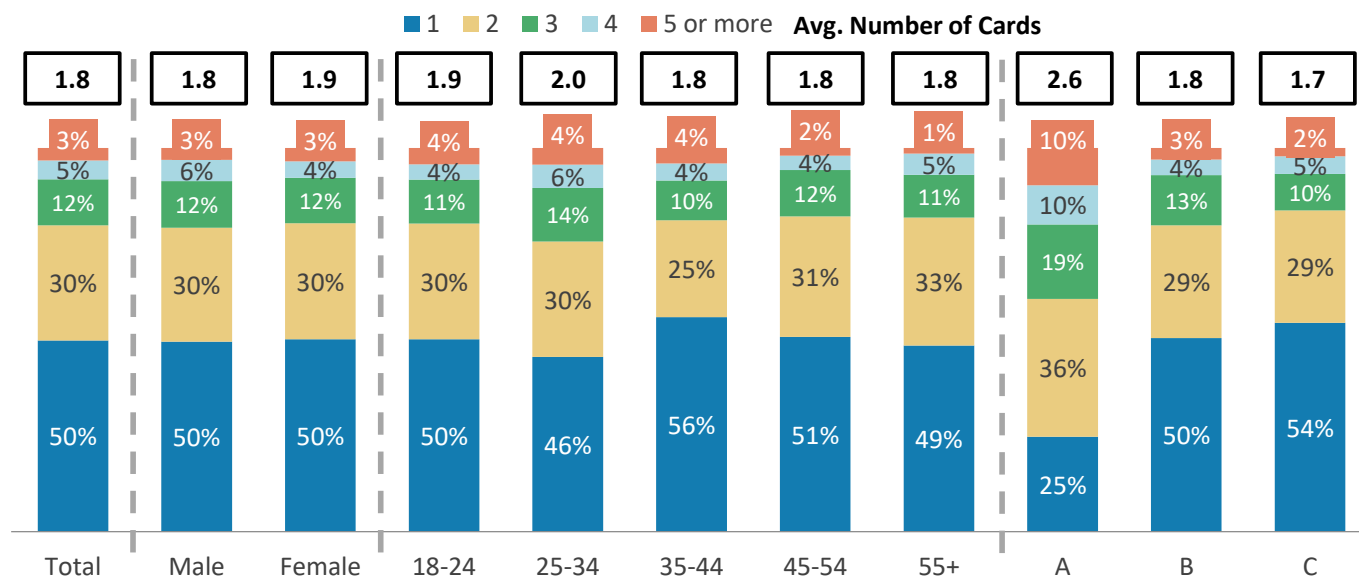
Exhibit 34: Credit Card Penetration by Demographic Group



Source: AlphaWise, Morgan Stanley Research.

Multiple credit cards are common, especially for wealthier consumers. Among cardholders, the average number of cards is 1.8. Class A consumers own the most, averaging 2.6 cards, compared to 1.8 in Class B and 1.7 in Class C. There was no material difference in the number of cards held between customers of incumbent and challenger banks.

Exhibit 35: Number of Credit Cards Owned

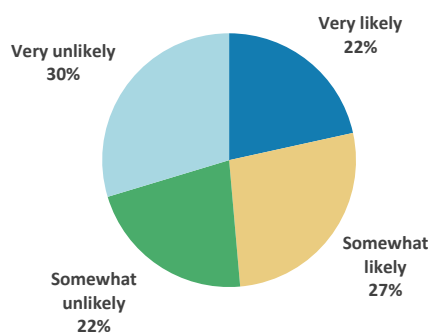


Source: AlphaWise, Morgan Stanley Research.

Strong intent to open new cards signals further growth. Despite already high penetration, 49% of consumers said they are likely to apply for a new card within the next six months. Based on conversion assumptions, this could translate to 25 million new cards, or 17% growth over the current base of 154 million cards in our sample.

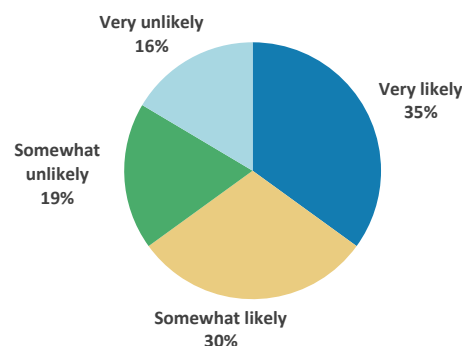
Please note that the statistically significant nature of our survey allow us to extrapolate the survey results into the population at large. Our conversion math assumes 80% of "very" likely and 50% of "somewhat" likely consumers apply for a card, and that 70% are approved (i.e., 30% rejection rate).

Exhibit 36: Likelihood to Get a New Credit Card in Next 6 Months (Total Respondents)



Source: AlphaWise, Morgan Stanley Research.

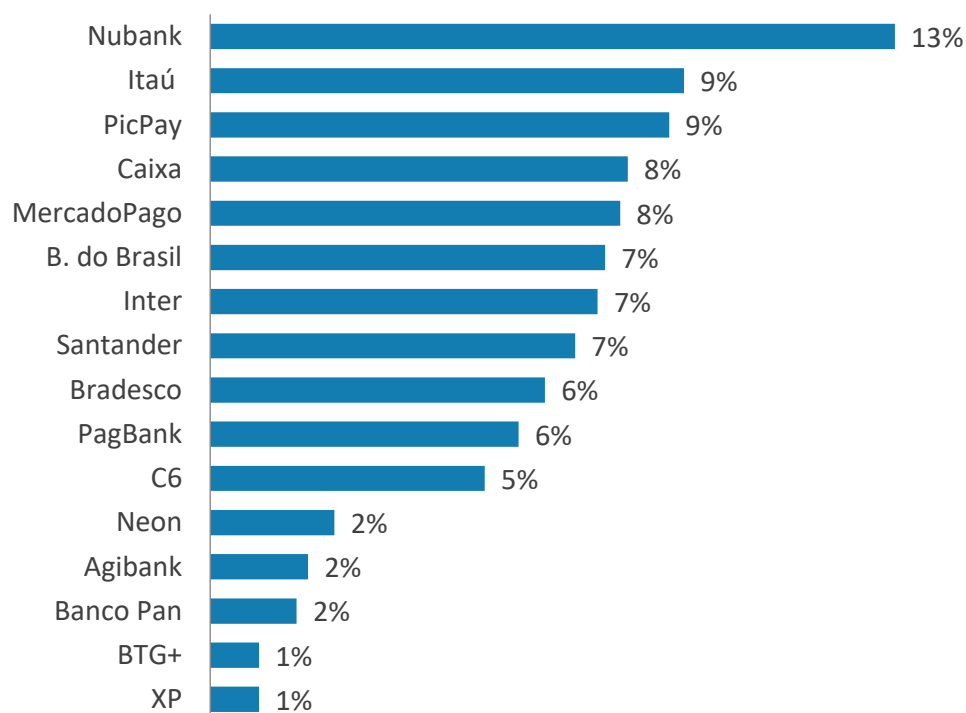
Exhibit 37: Likelihood to Get a New Credit Card in Next 6 Months (Class A Respondents)



Source: AlphaWise, Morgan Stanley Research.

Nubank leads as the top destination for new credit cards. Nubank, already the largest card issuer in Brazil, was the most cited bank among those planning to apply for a new card, with 13% share. Based on conversion assumptions, this translates to 3.2 million potential new cards, a 6% increase vs. its current base of 49.3 million. As reference, Nubank's card base grew 7% over the last six months, so our survey results seem to fairly reflect the ongoing business dynamics. The next three top destinations were Itaú (9%), PicPay (9%), and Caixa (8%).

Exhibit 38: Bank of Choice When Getting a New Credit Card in the Next 6 Months

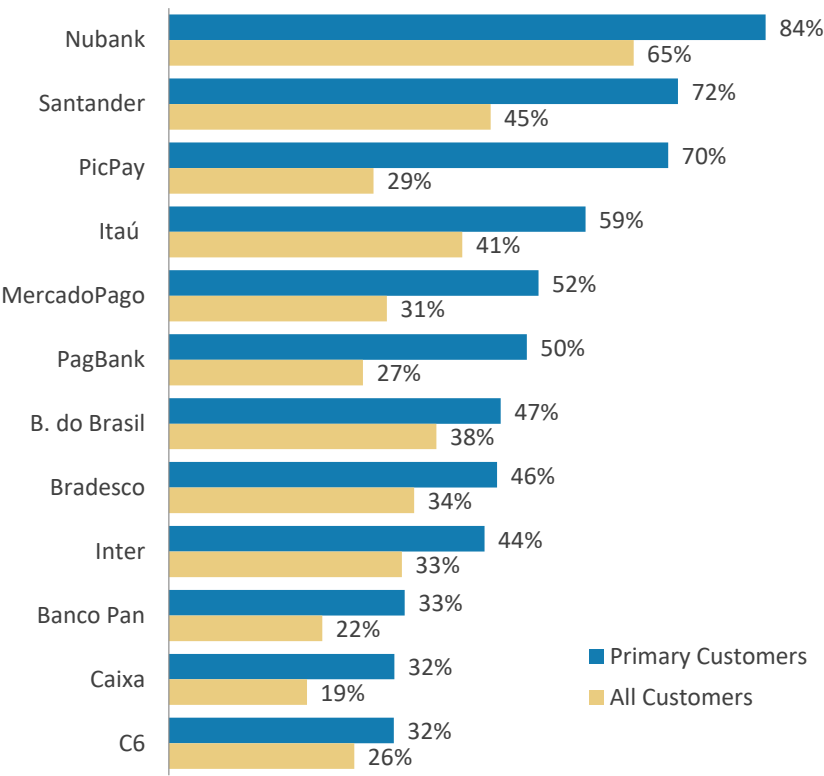


Source: AlphaWise, Morgan Stanley Research.

Nubank also ranks highly among high-income applicants — a very positive signal for Ultravioleta. Within the subset of survey respondents with household incomes above R\$10,000 per month (the top 5% of Brazil earners), Nubank was the second choice for consumers looking for a new card, concentrating 10% of those, slightly behind the leader Itaú (12%).

Primary account status drives card usage — and Nubank also leads. Consumers concentrate their card spending with their primary banks. Nubank's primary account holders allocate 84% of card spending to Nubank, versus 65% for all account holders. No other issuer receives as high a share of wallet, reinforcing the importance of primary relationships.

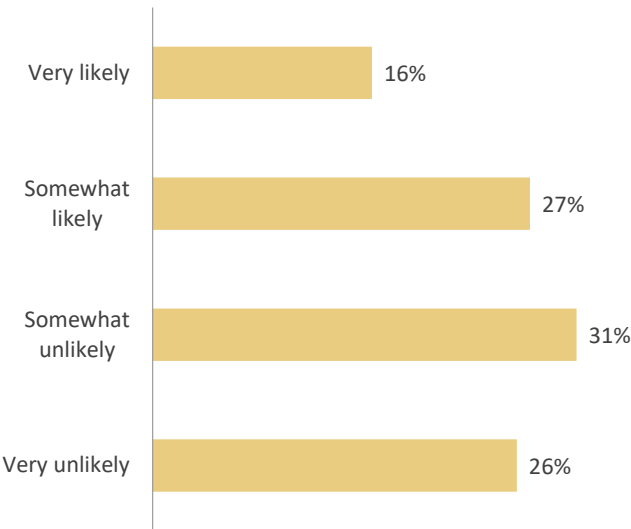
Exhibit 39: Allocation of Credit Card Spending by Customer Type



Source: AlphaWise, Morgan Stanley Research.

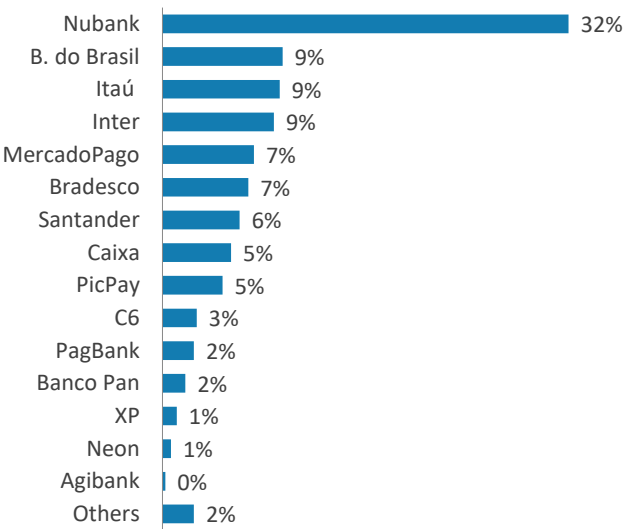
Consumers are actively reallocating card spending — Nubank again is the top choice. Our 2025 survey shows that 43% of respondents are likely ("very" and "somewhat") to shift primary card spending to another card. Nubank is the top destination, capturing an impressive 32% of those reallocating spending — over 3x the share of Itaú or Banco do Brasil (9% each). This finding counters bear concerns about Nubank's card growth slowing.

Exhibit 40: Likelihood to Reallocate Credit Card Spending to Another Card in Next 6 Months



Source: AlphaWise, Morgan Stanley Research.

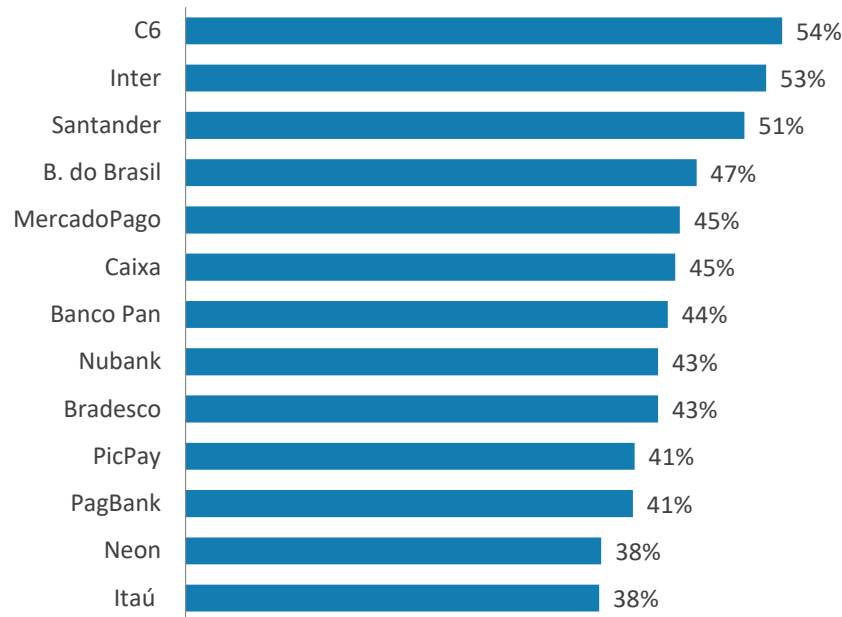
Exhibit 41: Bank of Choice When Reallocating Card Spending in the Next 6 Months



Source: AlphaWise, Morgan Stanley Research.

C6, Inter, and Santander are most at risk of losing card spend. Over half of primary cardholders at C6 (54%), Inter (53%), and Santander (51%) said they plan to switch spending away from their current card. Itaú, PagBank, and PicPay showed stronger customer retention, with fewer clients planning to reallocate spending. Lastly, while the difference in clients looking to switch spending away from their current card is not that material on a bank-by-bank basis, the difference on the likely destination is very noticeable — with Nubank potentially receiving an overwhelming large share (32%).

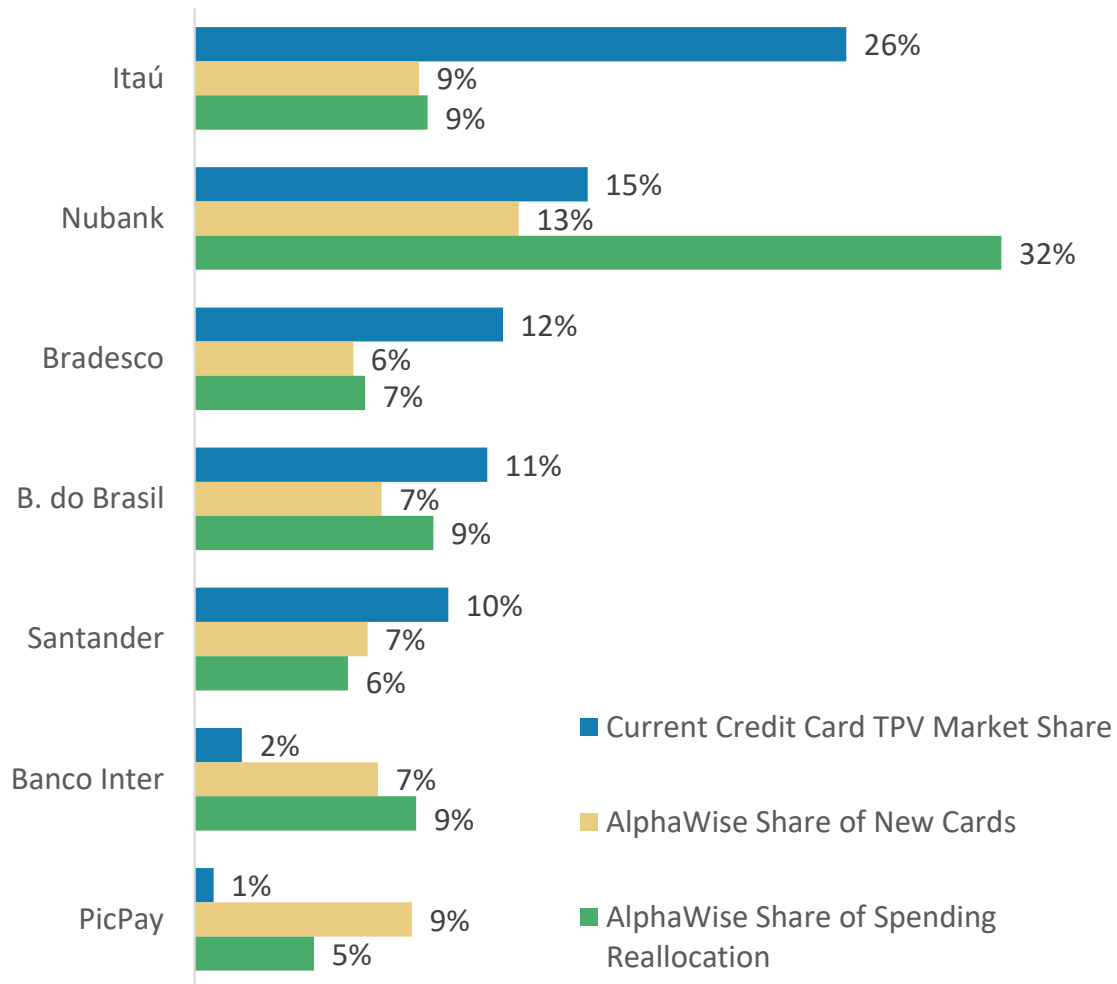
Exhibit 42: Percent of Customers That are Likely or Somewhat Likely to Reallocate Credit Card Spending in the Next 6 Months



Source: AlphaWise, Morgan Stanley Research.

Nubank's outsized share of both spending reallocation and new credit card applications — relative to its current market position — signals strong growth ahead. While NU currently holds 15% share of credit card TPV in Brazil, making it the second-largest player behind Itaú, our survey data shows it leading the market by a wide margin in both potential spending reallocation and new card intent. Specifically, Nubank is poised to capture 32% of future spending reallocation and 13% of new cards, suggesting meaningful market share gains ahead. This directly challenges the bear narrative that its credit card business has already peaked.

Exhibit 43: Credit Card Spending — Current Market Share vs. Potential Share of New Cards and Spending Reallocation



Source: AlphaWise, Morgan Stanley Research.

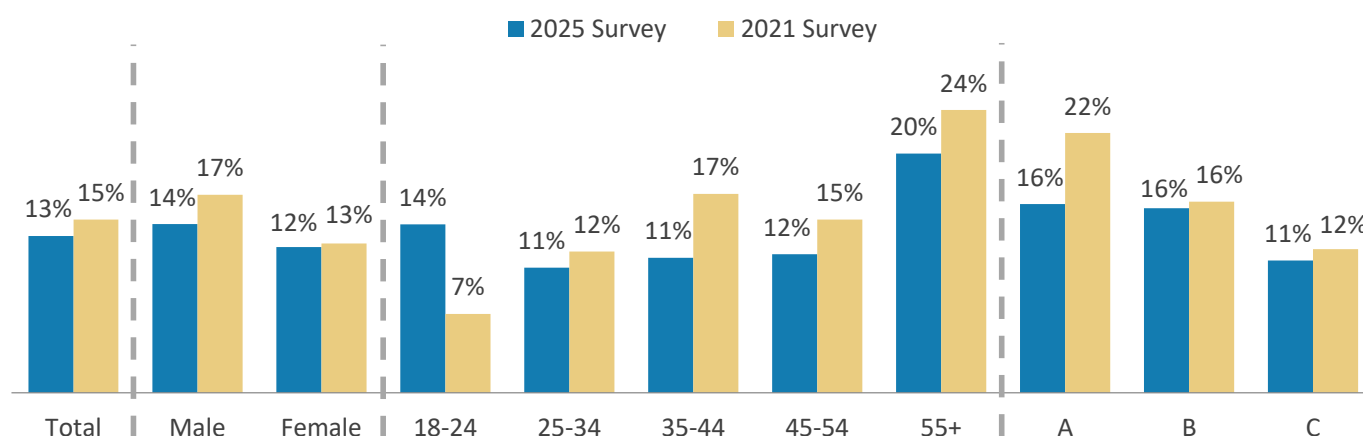
AlphaWise Survey — Payroll Loans

Payroll Loans

- **Penetration dropped** to 13% from 15% in 2021, with Class A falling most, likely due to higher Selic rates (11-13% in 2024-25 vs. 3-5% in 2020-21). Government and INSS segments show higher usage (27% and 34%).
- **Intent to apply is strong:** 30% plan to seek a payroll loan soon vs. just 13% holding one today.
- **Nubank is top choice for new payroll loans** (22% share), far ahead of Caixa (12%) and Banco do Brasil (9%).
- **Nubank could gain 2-3 percentage points of market share** in payroll loans from government and INSS segments within 6 months.
- **Most consumers prefer to renegotiate in-house.** 59% of current holders plan to renegotiate, and 79% will do so with their current bank — but Nubank's digital tools and market-leading prices may change that. Price matters most to consumers.

Payroll loan penetration declines amid rising rates. The share of consumers holding a payroll loan has declined from 15% in 2021 to 13% in 2025, likely due to higher interest rates. Payroll loan interest rates, while fixed, are tightly correlated with the prevailing level of Selic rates at origination. The average Selic rate rose from 3-5% in 2020-21 to 11-13% in 2024-25. Penetration fell across most demographics, with the steepest drop in Class A (16% vs. 22% in 2021).

Exhibit 44: Payroll Loan Penetration by Demographic Group



Source: AlphaWise, Morgan Stanley Research.

Government workers and INSS retirees show higher usage. These two segments, which account for the majority of payroll loan issuance, show much higher penetration: 27% for government workers and 34% for INSS retirees.

Strong demand for new payroll loans. While only 13% of consumers currently have a payroll loan, 30% said they're "very" or "somewhat" likely to apply within six months. This suggests significant growth potential. Within government workers and INSS retirees, demand is also strong: 39% of government workers and 28% of INSS retirees are likely to apply — a large number relative to the current product penetration.

Extrapolating intent and approval assumptions to the population at large, means that 1.6 million new loans could be issued for **government workers**, 30% growth over the 5.5 million loans outstanding among survey respondents. And for **INSS retirees**, 0.83 million new loans could be issued, 19% growth over the 4.3 million loans outstanding. The math assumes 80% of "very" likely and 50% of "somewhat" likely consumers apply for a loan, and that 70% are approved (i.e., 30% rejection rate).

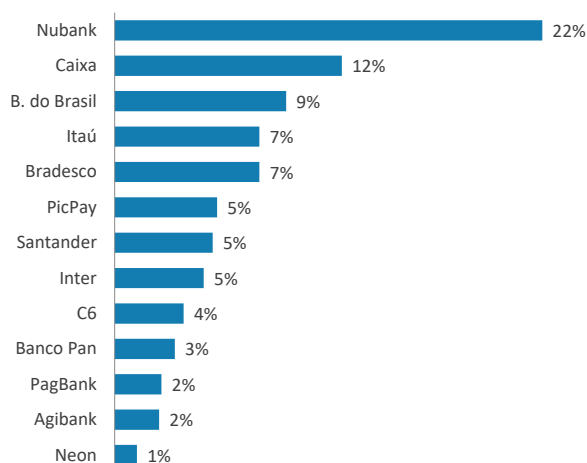
Exhibit 45: Likelihood to Get New Payroll Loan in the Next 6 Months

	Total	Govt.	INSS
Very likely	12%	18%	9%
Somewhat likely	18%	21%	19%
Somewhat unlikely	22%	20%	24%
Very unlikely	49%	41%	48%

Source: AlphaWise, Morgan Stanley Research.

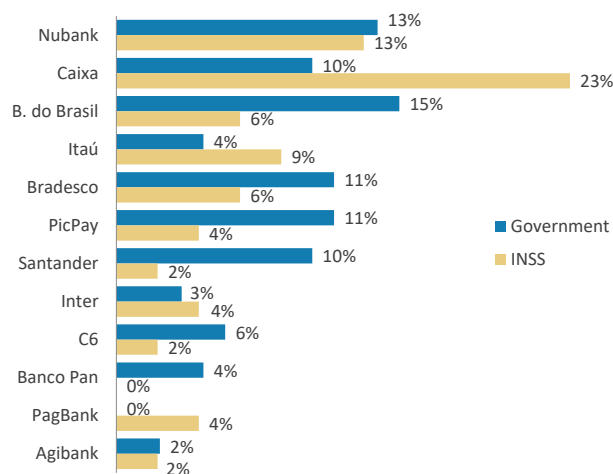
Nubank leads as the top destination for new payroll loans — by a wide margin. Nubank was cited by 22% of all likely applicants — well ahead of Caixa (12%), Banco do Brasil (9%), and Itaú and Bradesco (7% each). Nubank also ranks well among government workers and INSS retirees. It captures 13% of intent in both groups, second only to Banco do Brasil (15%) for government workers and Caixa (23%) for retirees. This could translate to 0.22 million new government and 0.11 million new INSS payroll loans for Nubank within six months. If so, Nubank's market share should expand by 2-3 percentage points, a significant acceleration versus the 1% share it picked up in the last 12 months.

Exhibit 46: Top Destination Banks for New Payroll Loans (All Survey Respondents)



Source: AlphaWise, Morgan Stanley Research.

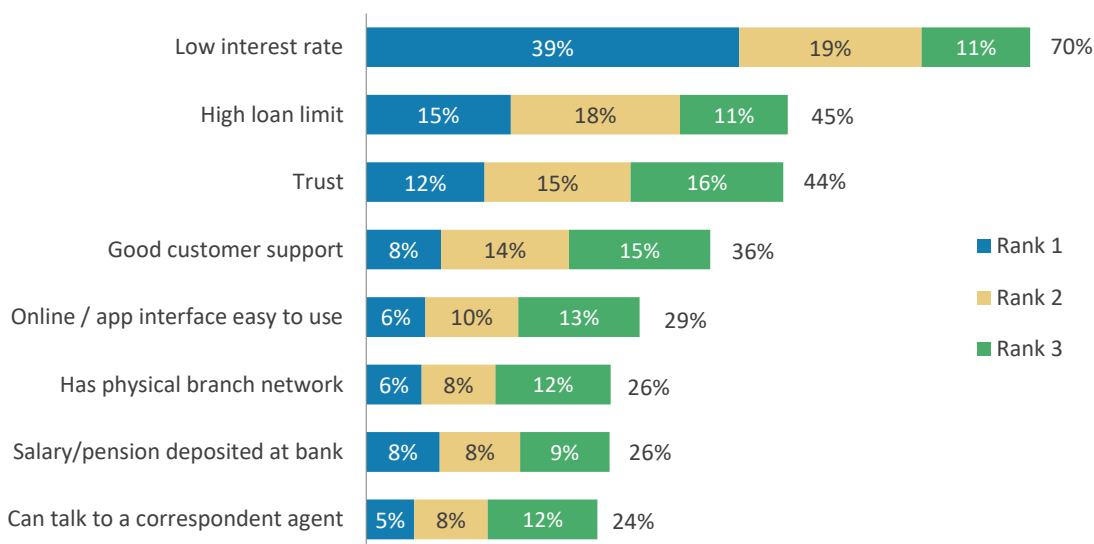
Exhibit 47: Top Destination Banks for New Payroll Loans (Government Workers & INSS Retirees)



Source: AlphaWise, Morgan Stanley Research.

Price matters most to consumers. When choosing a payroll lender, 39% of respondents said interest rate is the most important factor, followed by credit limit (15%) and trust (12%). Price was a top 1, 2, or 3 factor for 70% of respondents. Interestingly, branch network, bank destination for salary/pension deposit, and access to agents/correspondents ranked lowest in importance. These results put into question the incumbents' claim that their large distribution networks, dominant share of salary/pension deposits, and 1-on-1 service represent a key competitive advantage in payroll lending.

Exhibit 48: Top Priorities When Choosing a New Payroll Loan



Source: AlphaWise, Morgan Stanley Research.

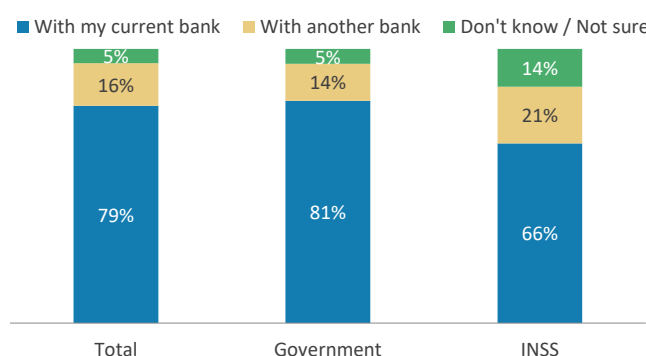
Consumers show high intent to renegotiate loans. Our survey shows that 59% of current payroll loan holders plan to renegotiate in the next six months, including 60% of government workers and 48% of retirees. Most intend to renegotiate with their current bank (79%), while just 16% plan to look elsewhere.

Exhibit 49: Likelihood to Renegotiate Payroll Loan in Next 6 Months

	Total	Govt.	INSS
Very likely	33%	39%	23%
Somewhat likely	26%	21%	25%
Somewhat unlikely	17%	18%	23%
Very unlikely	24%	23%	28%

Source: AlphaWise, Morgan Stanley Research.

Exhibit 50: Bank of Choice if Renegotiating Payroll Loan in Next 6 Months

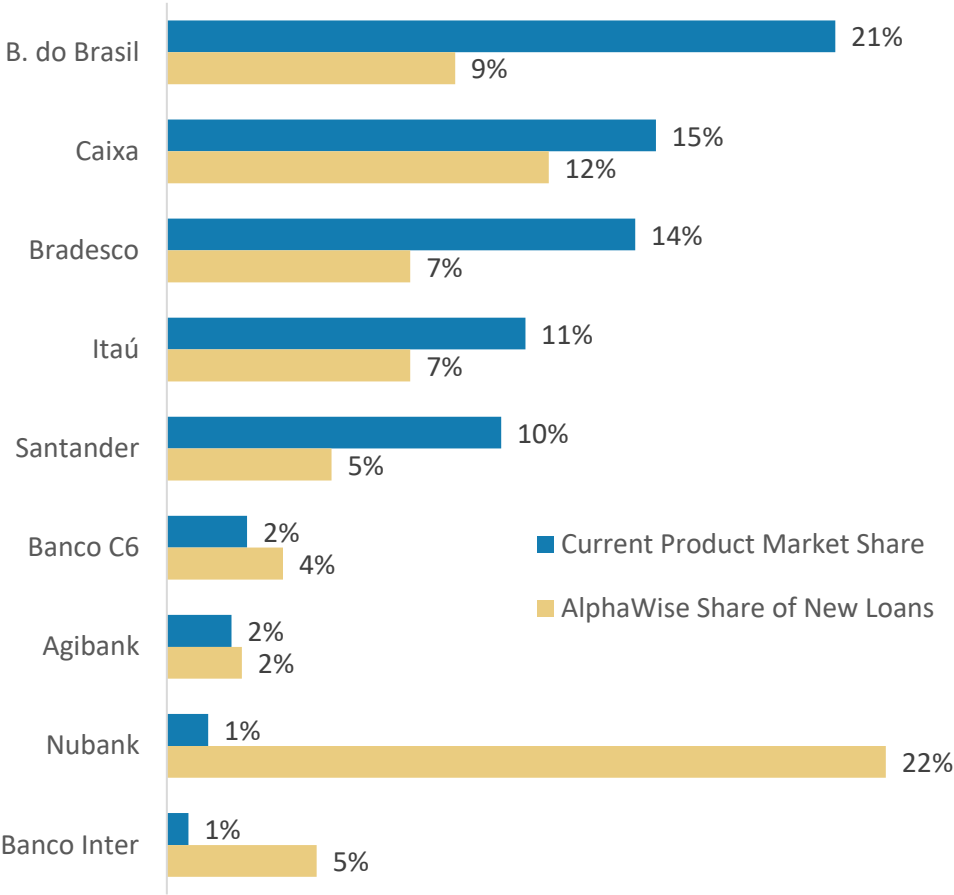


Source: AlphaWise, Morgan Stanley Research.

Industry still lacks digital solutions — Nubank stands out. We are not surprised that only a small number of consumers plan to renegotiate their payroll loans with a different bank, as most lenders still lack seamless digital solutions for renegotiations and top-ups. As we argued in our Latam Insight report: [The Rise of Digital Payroll Loans](#), this is a very large consumer credit segment that remains largely offline, dominated by incumbent banks with excess profitability, and continued reliance on physical distribution. We see this as an industry riper for disruption, and believe Nubank — offering portability, renegotiations, and top-ups through a fully digital platform with market leading prices — is well positioned to emerge as a long-term winner.

Relative to its current market share, Nubank is positioned to capture an outsized share of new payroll loans — pointing to strong growth ahead. Although it currently holds just 1% of Brazil's payroll loan market, well behind incumbents like Banco do Brasil (21%) and Caixa (15%), our survey data shows Nubank leading the market by a wide margin in customer intent for new loans, with a commanding 22% share. This sharp disconnect between current and potential share suggests meaningful upside for NU's market position in the near term. By contrast, incumbents appear highly vulnerable to share losses based on this divergence between current ownership and future intent.

Exhibit 51: Payroll Loans — Current Market Share vs. Potential Share of New Loans



Source: AlphaWise, Morgan Stanley Research.

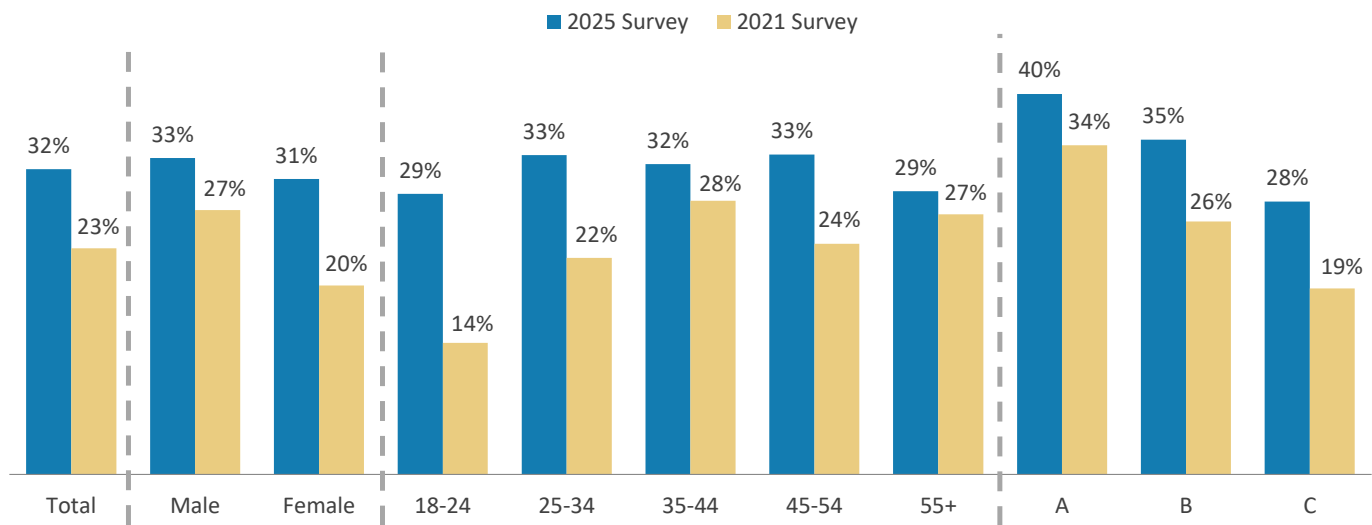
AlphaWise Survey — Personal Loans

Personal Loans

- **Penetration rose meaningfully, to 32% in 2025 from 23% in 2021, driven by digital lenders.** Growth was strongest among young and Class C consumers.
- **Intent to apply for a personal loans remains strong.** 34% of respondents plan to apply for a personal loan in the next six months. This suggests 9 million new loans, of 14% growth over the current base.
- **Nubank is the top choice for new personal loans,** cited by 24% of likely applicants. This implies 2.2 million new loans — 18% growth vs. its 12 million base.
- **Price is the top decision factor** for 42% of personal loan seekers. When combining top 1-3 choices, 71% of respondents prioritize low interest rates over credit limits and trust.

Personal loan penetration has expanded meaningfully, likely driven by the success of digital lenders. Today, 32% of survey respondents report having an unsecured personal loan, up from 23% in 2021. Growth was strongest among young consumers: penetration rose 15 points to 29% for the 18-24 group and 11 points to 33% for the 25-34 group. Class C consumers also saw the largest expansion by income, rising 9 points to 28%. The before-mentioned demographics are where digital lenders have had notable success.

Exhibit 52: Personal Loans Penetration by Demographic Group

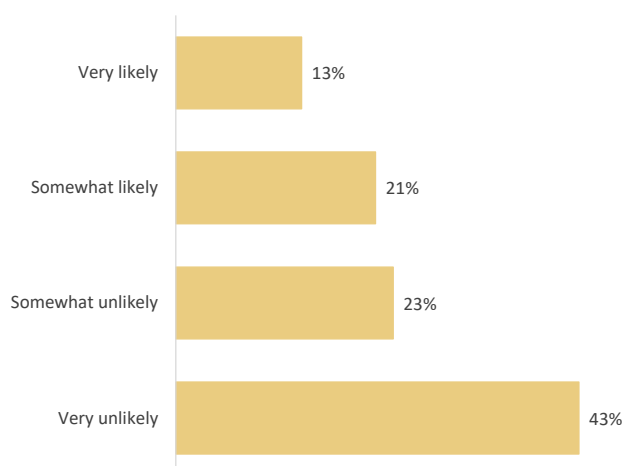


Source: AlphaWise, Morgan Stanley Research.

Intent to apply for a personal loans remains strong. In total, 34% of consumers said they are "very" or "somewhat" likely to apply in the next six months, a high figure compared to the current 31% product penetration rate. Extrapolating intent and approval assumptions to the population at large, this suggests 9 million new loans, or 14% growth over the current base of 63 million. The math assumes 80% of "very" likely and 50% of "somewhat" likely respondents will apply for a loan, and that 70% are approved (i.e., 30% rejection rate).

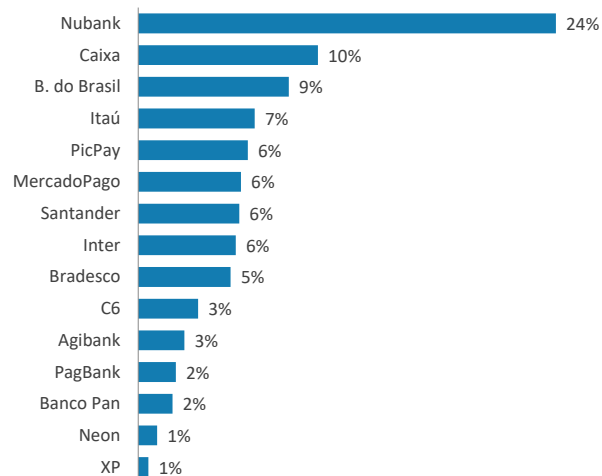
Nubank is the top destination for new personal loans. Nubank was cited by 24% of likely applicants — well ahead of Caixa (10%), Banco do Brasil (9%), and Itaú (7%). At the population level, this implies 2.2 million potential new loans for Nubank, or an impressive 18% growth vs. its current 12 million base.

Exhibit 53: Likelihood to Get New Personal Loan in the Next 6 Months



Source: AlphaWise, Morgan Stanley Research.

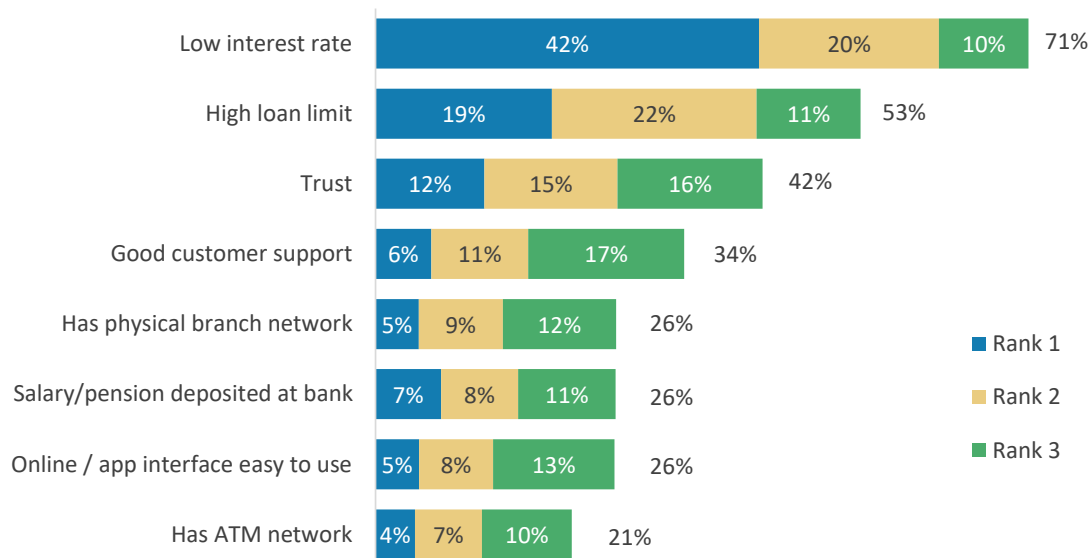
Exhibit 54: Bank of Choice When Getting a New Personal Loan in the Next 6 Months



Source: AlphaWise, Morgan Stanley Research.

Price remains the dominant factor for consumers. Interest rates were the top consideration for 42% of consumers, followed by credit limits (19%) and trust (12%). When looking at top 1, 2, or 3 preferences, price was mentioned by 71% of survey participants — far ahead of other factors. Nubank's leading prices, thanks to its significant cost advantage, positions the company for success in this product.

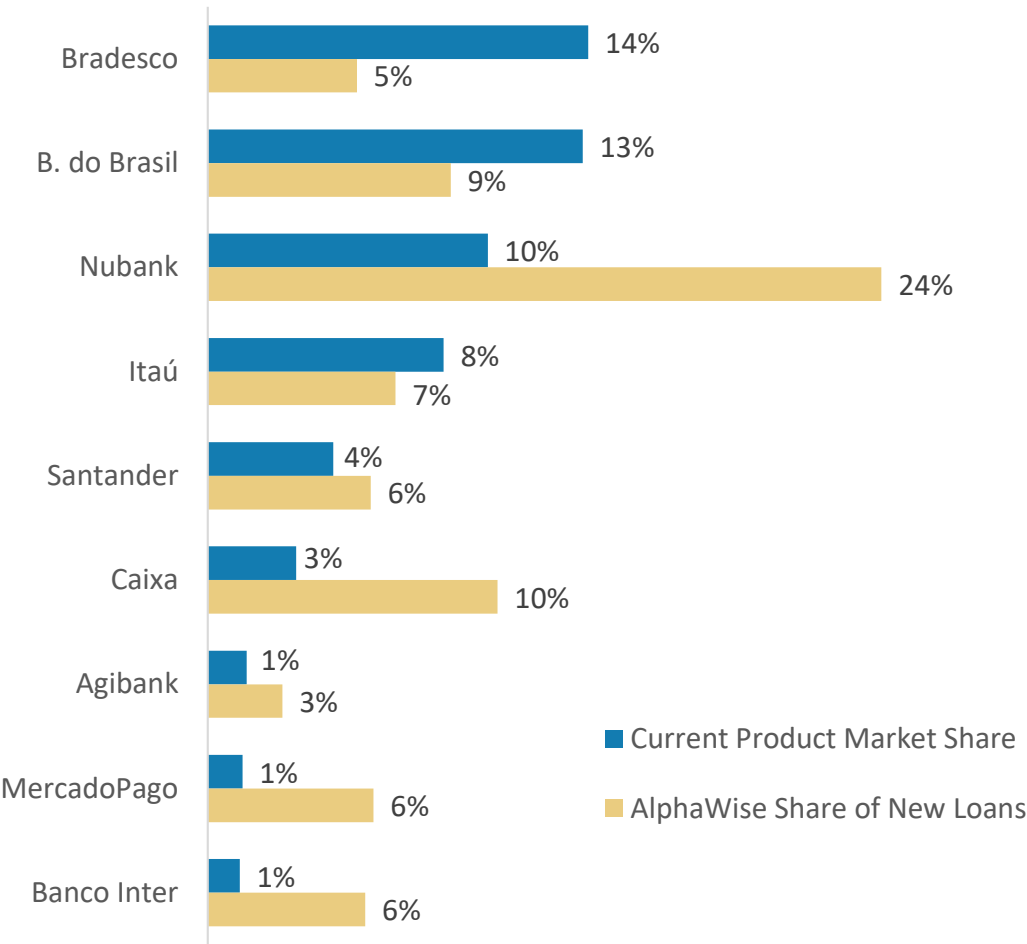
Exhibit 55: Top Priorities When Choosing a New Personal Loan



Source: AlphaWise, Morgan Stanley Research.

Relative to its current market share, Nubank appears well positioned to capture an outsized share of new personal loans — pointing to robust growth ahead. While it currently holds 10% of Brazil's personal loan market, our survey data shows it leading the market by a wide margin in customer intent for new loans, with a commanding 24% share. As with payroll loans, this sharp gap between current and potential share suggests meaningful market share gains ahead for Nubank. Incumbents, once again, appear at risk of losing ground based on the mismatch between their existing share and future demand.

Exhibit 56: Personal Loans — Current Market Share vs. Potential Share of New Loans



Source: AlphaWise, Morgan Stanley Research.

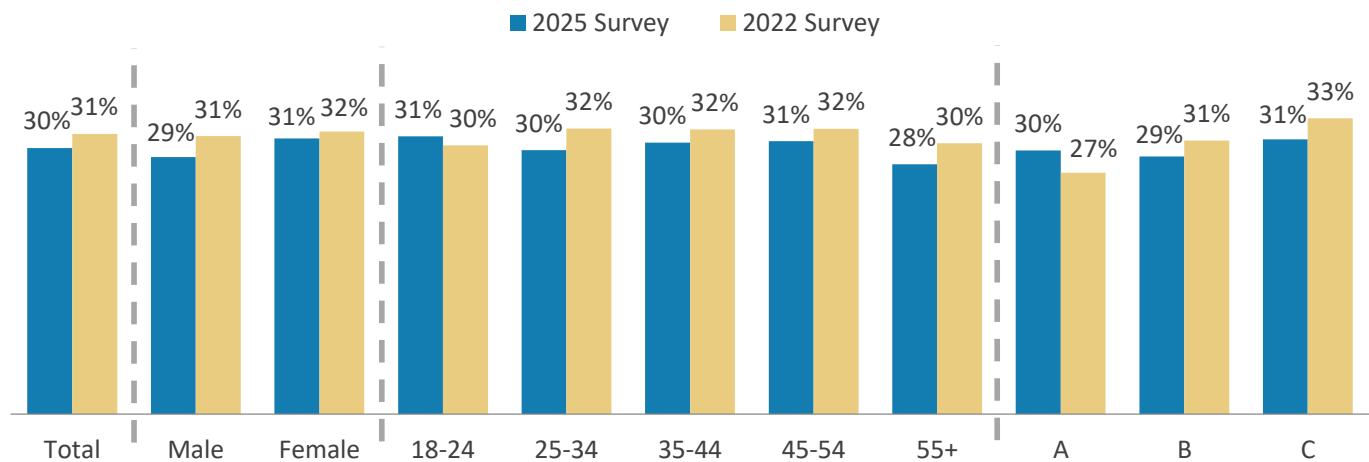
AlphaWise Survey — Consumer Debt Leverage

Consumer Debt Leverage

- **Consumer debt leverage remains flat vs. 2022**, with average debt service at 30% despite persistently high Selic rates — a positive development across all demographic segments.
- **High interest rates haven't driven up leverage due to two factors:** most debt is interest-free *parcelados* credit card payments, and the labor market has been strong.
- **Nubank clients show debt service ratios in line with major banks** (31% vs. 32% at incumbents), challenging the bearish narrative that its growth is fueled by overstretched borrowers.

Consumer debt leverage remains flat despite high rates — a positive finding. Average debt service among respondents with debt was 30% in our 2025 survey, nearly unchanged from 31% in 2022, as reported in our Latam Insight report: "[No Hard Landing for Asset Quality: Our AlphaWise Consumer Survey Speaks](#)". We found no meaningful differences by gender, age, and socioeconomic class — leverage appears broadly stable across segments. This seems positive given that Selic rates have remained in the double-digit range for the past three years — marking a decade high.

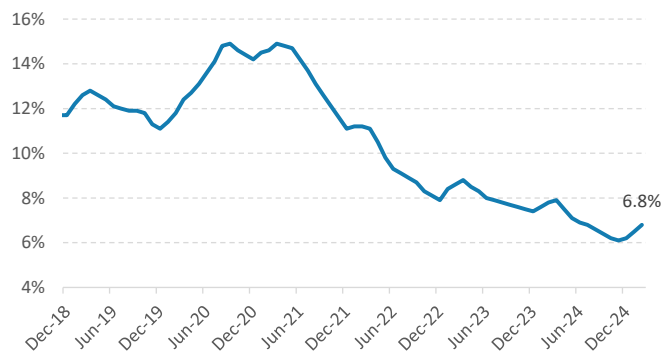
Exhibit 57: Average Debt Service by Household



Source: AlphaWise, Morgan Stanley Research.

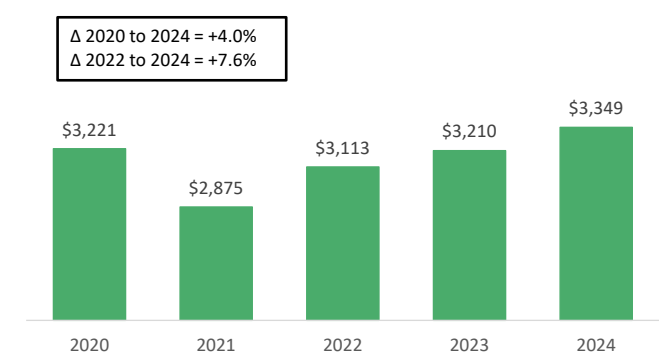
Why haven't high interest rates translated into higher debt leverage? We see two key reasons: First, most consumer debt service in Brazil — close to 70%, as per our 2022 AlphaWise survey — is tied to credit card payments, and the bulk of these are in interest-free installments (the *parcelados*). Plus, the small portion of card balances that revolve are not tied to Selic, with rates steady at 6 to 7% per month for years, regardless of the macro conditions. Second, the labor market has been strong, with resilient employment and rising real wages, which has helped stabilize household debt service.

Exhibit 58: Brazil Unemployment Rate (3mo Moving Average)



Source: AlphaWise, Morgan Stanley Research.

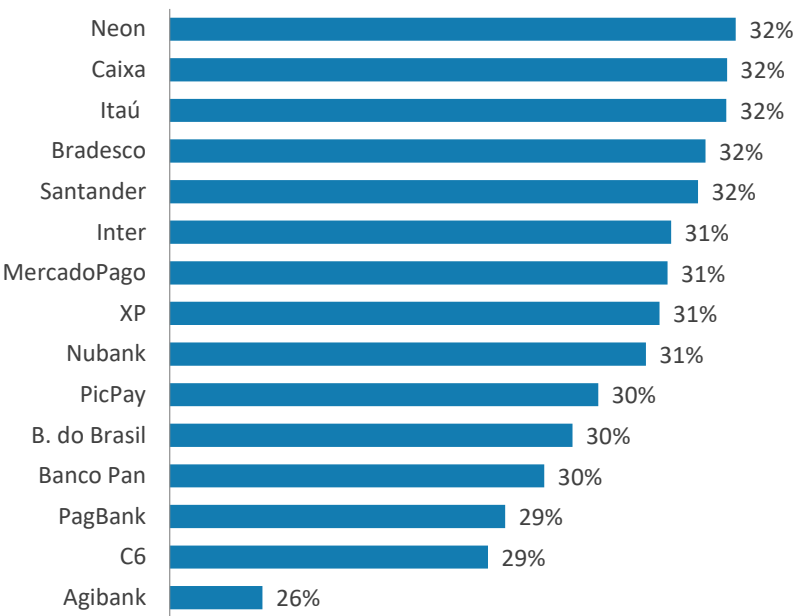
Exhibit 59: Brazil Real Monthly Earnings (R\$)



Source: AlphaWise, Morgan Stanley Research.

Nubank's clients aren't more leveraged than peers — survey disproved bear thesis. Among respondents with debt, Nubank's average debt service ratio was 31% — exactly in line with the broader market. Itaú and Bradesco at 32%, Banco do Brasil at 30%, and Santander at 32%. Other digital players also came in close: Inter at 31%, PicPay at 30%, and PagBank and C6 both at 29%. These results challenge the bearish view that Nubank's rapid growth means overexposure to lower-income, overstretched borrowers. Our AlphaWise survey does not support this narrative.

Exhibit 60: Average Debt Service Ratio by Bank



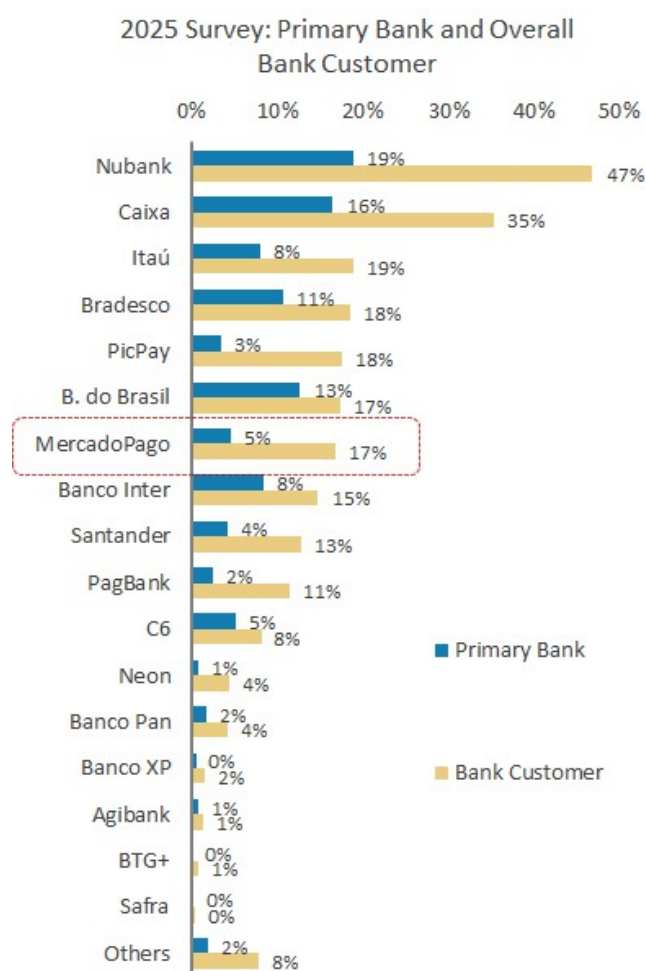
Source: AlphaWise, Morgan Stanley Research.

Implications for Mercado Pago

By Andrew Ruben (andrew.ruben@morganstanley.com)

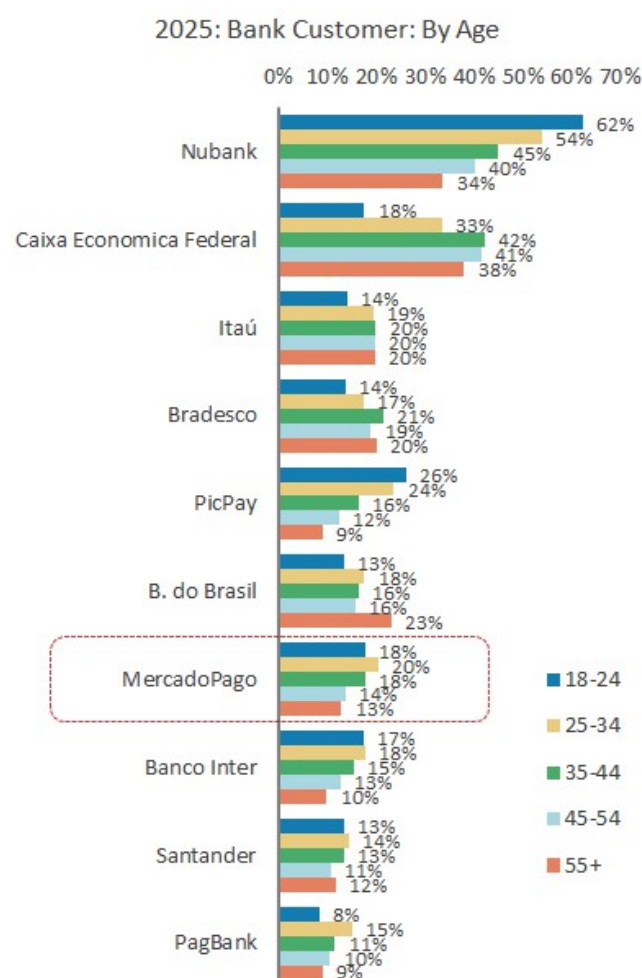
Mercado Pago delivered notable usage traction in our AlphaWise survey data, while the path to principality remains earlier-stage. New versus our LatAm Financials team's 2021 Brazil consumer banking survey, Mercado Pago was included in the 2025 edition — reflecting the traction of MercadoLibre (MELI.O, OW) in expanding the breadth of its Fintech operations in recent years. Between YE20 and YE24, the company's loan portfolio grew at a +92% CAGR, or >13x cumulatively, to reach US\$6.6bn region-wide. Similarly, Fintech Services (i.e., non-acquiring) total payment volume grew at a +94% CAGR to reach US\$55bn in 2024. While Mercado Pago functionality is present across the region, Brazil is the top market at ~50% of MELI's 2024 Fintech revenue. Demonstrating the momentum in realized growth metrics and in consumer mind-share — in both cases supported by eCommerce marketplace brand recognition and financial services tie-ins — within our survey 17% of Brazil consumers reported having some sort of banking relationship with Mercado Pago ([Exhibit 61](#)). This was below Nubank at 47% and Caixa at 35%, but in the range of some of Brazil's top banking institutions such as Itaú, Bradesco, and Banco do Brasil. Where Mercado Pago traction lagged in comparison, however, was in the proportion of consumers ranking it as their primary bank; Mercado Pago's 5% was favorable versus most other Fintech operators (ex-Nubank), while this figure was below levels of top Brazil incumbents. We note that the roll-out of products key for principality — such as credit card — remain earlier-stage for MELI. Further, only 4% of consumers surveyed noted salary deposits at Mercado Pago (Nubank at 20%), and we see this as another key element of principal banking relationships. When considering demographics ([Exhibit 62](#)), Mercado Pago over-indexes to younger cohorts, particularly in the 25-34 age range.

Exhibit 61: Mercado Pago showed notable uptake for overall usage, while traction as a primary bank was earlier-stage



Source: AlphaWise, Morgan Stanley Research

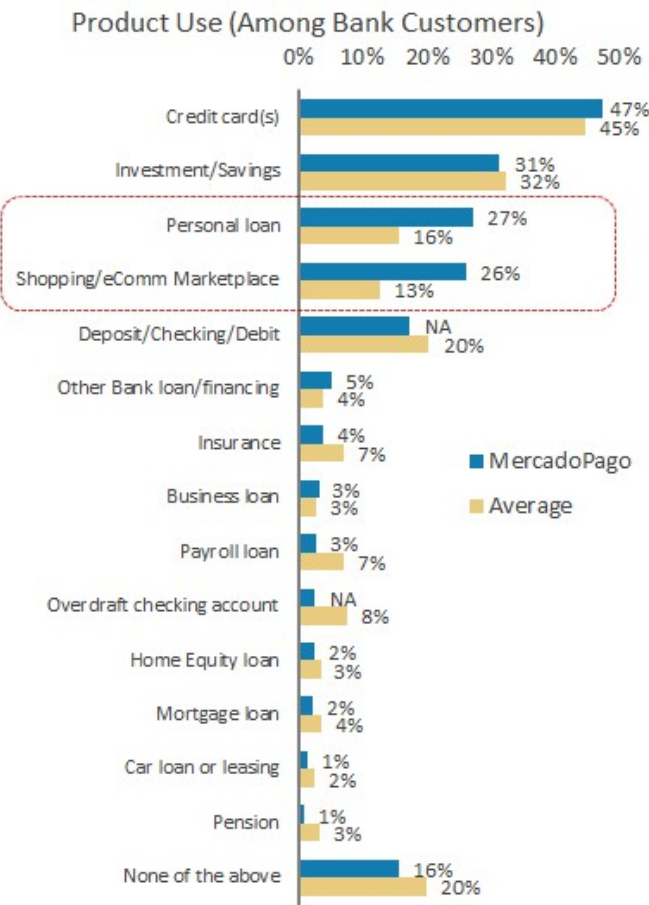
Exhibit 62: Mercado Pago over-indexed to younger demographics, particularly the age 25-34 cohort



Source: AlphaWise, Morgan Stanley Research

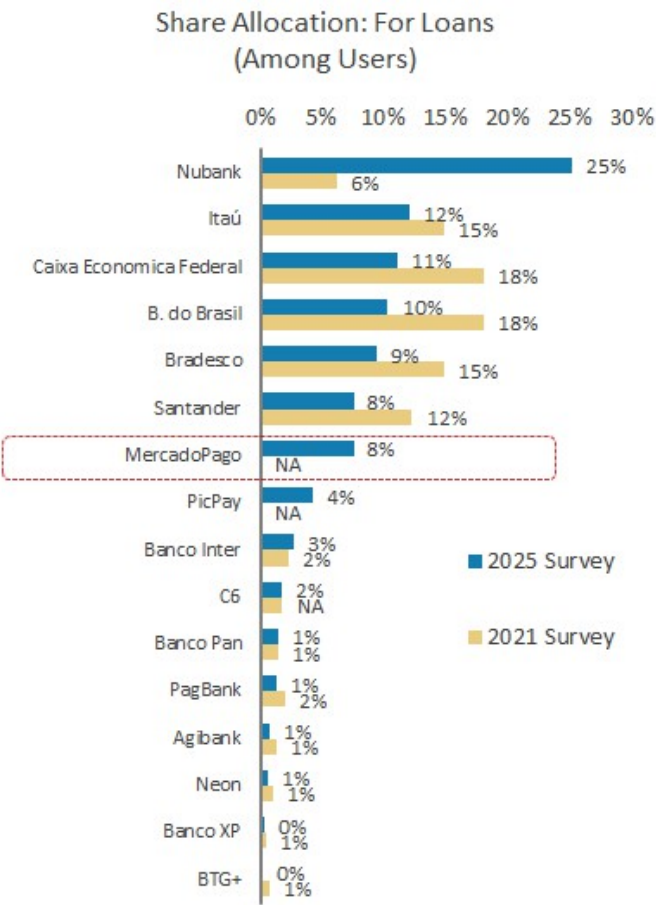
Survey data showed strength in personal loans (MELI's earlier credit product), and leading tie-ins of eCommerce features among institutions surveyed. For how consumers interact with Mercado Pago, among customers of the platform the most common product use cases were credit cards and investment / savings accounts — while for these products, the proportion of respondents citing usage was in-line with the average proportion across surveyed banks ([Exhibit 63](#)). Where Mercado Pago stood out versus peers was on personal loans (27% of Pago users, versus 16% on average across banks) and on eCommerce marketplace (26%, versus 13% on average). The high prevalence of marketplace tie-ins is expected to us, when considering (1) MercadoLibre's leading eCommerce share position, and (2) pure-play banks' eCommerce operations tending to be more on affiliate / portal / traffic pass-through bases. For personal loans, where MELI additionally over-indexes, we highlight that this was the core Mercado Credito offering before the expansion into credit cards. While consumer loans represent a still-sizeable 39% of MELI's gross credit portfolio as of end-2024, this figure stood at 50% as of end-2021. When looking at the share allocation for loans (among users), Mercado Pago's 8% was the platform's highest among major products ([Exhibit 64](#)), above its 6% for credit card spending, 5% for savings/investments, and 4% for checking/deposit activity.

Exhibit 63: MELI leads among platforms surveyed for tie-ins of eCommerce services



Source: AlphaWise, Morgan Stanley Research

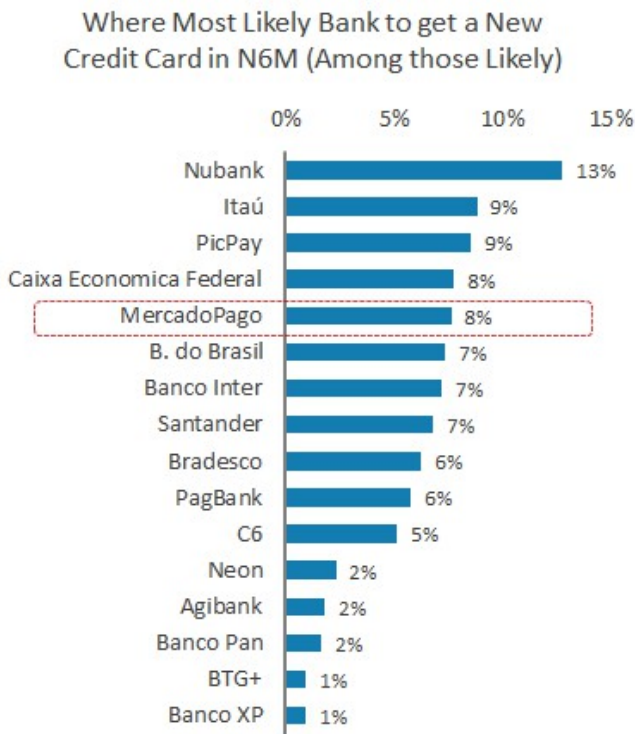
Exhibit 64: Survey data showed strength in personal loans (MELI's earlier credit product)



Source: AlphaWise, Morgan Stanley Research

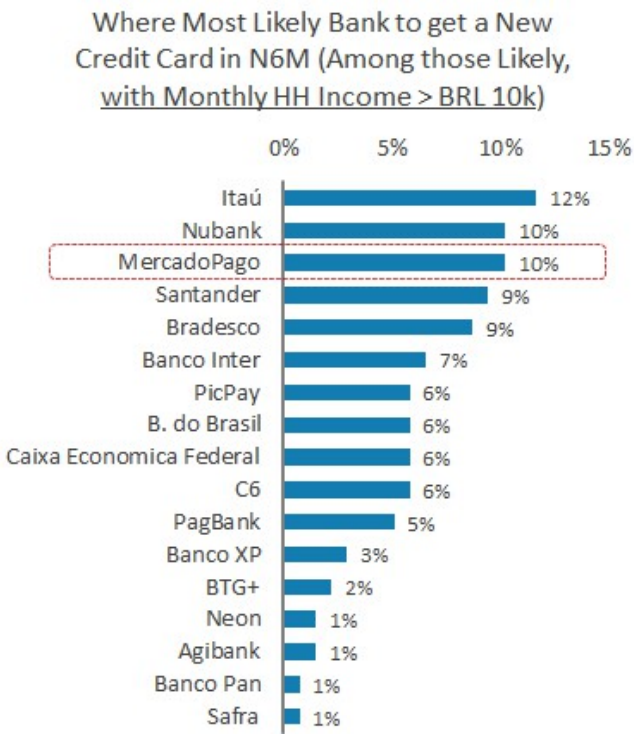
For credit cards, forward indication metrics are promising, including among higher-income consumer cohorts — supporting our conviction in cards as a complementary part of the MELI ecosystem. With growth momentum following the 2021 product launch, MELI's credit card portfolio reached US\$2.6bn at the end of 2024, representing ~40% of MELI's overall gross portfolio. While credit cards have launched in Mexico as well, we understand the bulk of MELI's credit card portfolio remains concentrated within Brazil. We see survey data corroborating the ramp-up momentum; as shown in Exhibit 65, MercadoPago ranked fifth among banks surveyed for where consumers are likely to get a card over the next 6 months. When looking to the same metric for consumers with monthly household income above R\$10k (Exhibit 66), MercadoPago ranked third. While we see on-marketplace loans catering to under-banked consumers, MELI management has described its credit card as a key product to enable a move upmarket into higher-income consumer cohorts; we believe the survey results demonstrate that this strategy is gaining traction. In expanding its credit card offering, we see MELI able to leverage eCommerce tie-ins such as sourcing from the existing marketplace customer pool, having data on such customers, and offering promotions such as extra installments on marketplace purchases.

Exhibit 65: Mercado Pago ranked within the top set of banks for new credit card intent...



Source: AlphaWise, Morgan Stanley Research

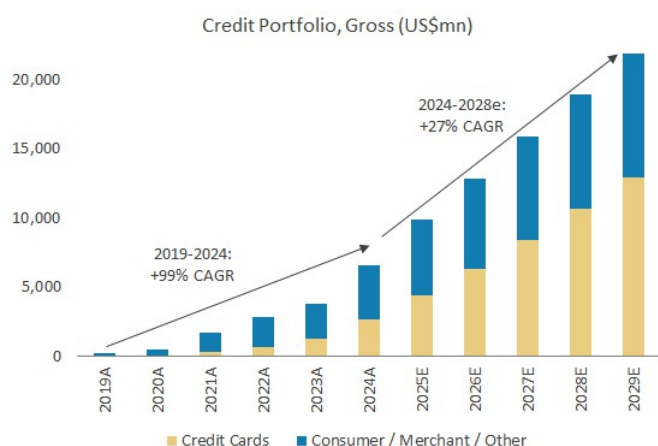
Exhibit 66: ... with an even greater intent ranking among higher-income consumers in our survey



Source: AlphaWise, Morgan Stanley Research

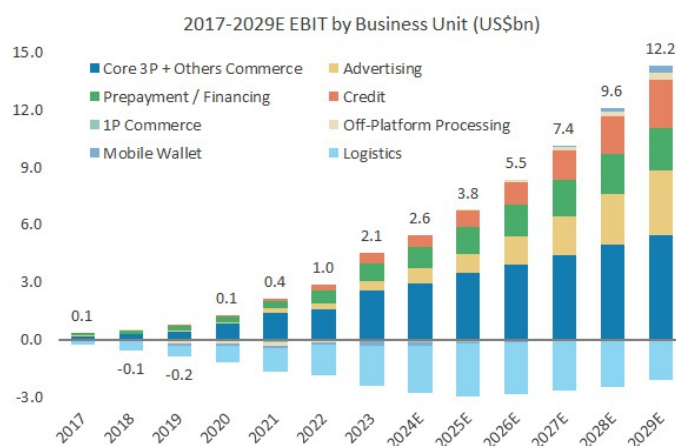
We see credit among MELI's multiple drivers of incremental EBIT growth for the years ahead; traction in survey data supports our conviction in OW-rated MELI. As shown in [Exhibit 67](#), MELI has delivered on an expressive ramp-up of its credit portfolio in recent years, with gross portfolio growth at a ~100% CAGR from 2019-2024, including +74% y/y growth in 2024. In addition to same-product expansion, MELI has broadened into newer products (such as cards) and expanded the portfolio across its top countries. We forecast the gross portfolio to reach nearly US\$22bn in 2029E, marking a +27% CAGR and ~3x growth from end-2024. Amid greater cross-sell at the product and customer level, our forecast credit portfolio CAGR is above our +14% forecast CAGR for MELI's eCommerce marketplace volumes through 2029. When looking to profitability ([Exhibit 68](#)), we see a broad base of EBIT drivers for MELI, and our consolidated growth trajectory is driven more by Commerce than by Fintech. However, credit is a meaningful contributor, adding an estimated US\$2.0bn of EBIT through 2029E, or ~20% of our total incremental EBIT forecast over this time period. We remain constructive on MELI's profitable growth outlook; survey results support our conviction, demonstrating potential upside risk to our credit contribution forecast as Mercado Pago traction continues to build.

Exhibit 67: We look for MELI's gross credit portfolio to grow by ~3x through 2029E, while the implied +27% CAGR marks a slowdown from the ~100% 5-year CAGR through 2024...



Source: Company data, Morgan Stanley Research estimates

Exhibit 68: ... and we see credit among MELI's drivers of incremental EBIT growth for the years ahead



Source: Company data, Morgan Stanley Research estimates

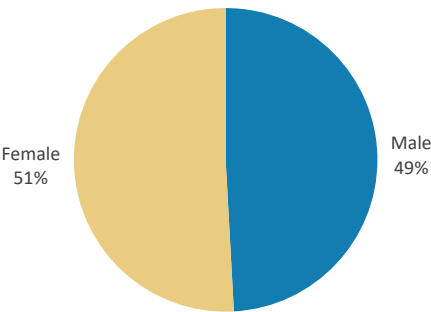
Survey Methodology

AlphaWise Survey Methodology

Online survey among ~3,000 18+ consumers who fall into socio-economic classes A, B or C in Brazil. The sample is representative of this targeted population in Brazil in terms of age, gender and region. The margin of error on the total sample is +/- 1.5% at a 90% confidence level. Where applicable, findings are compared to the 2021 survey.

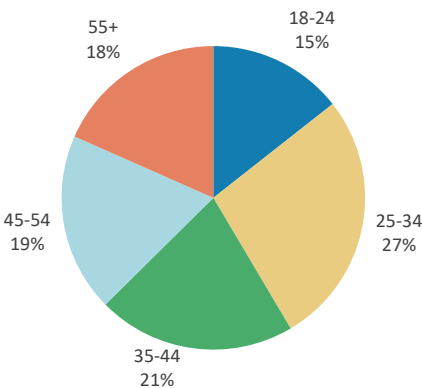
Respondents' Profile

Exhibit 69: Gender Distribution



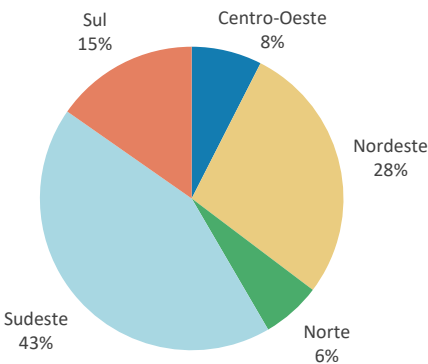
Source: AlphaWise, Morgan Stanley Research

Exhibit 70: Age Distribution



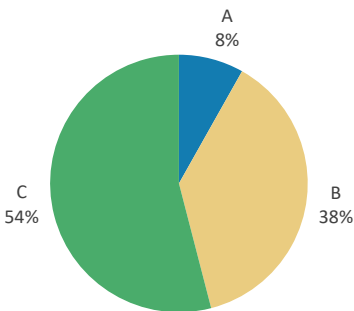
Source: AlphaWise, Morgan Stanley Research

Exhibit 71: Region Distribution



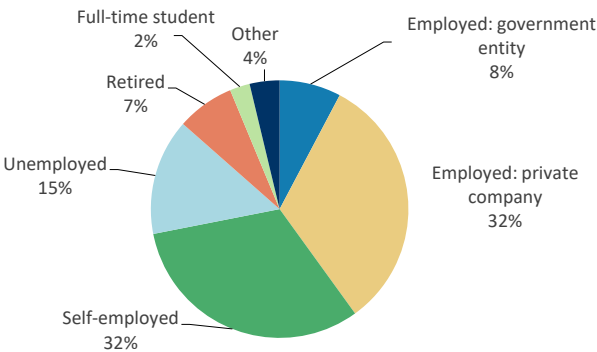
Source: AlphaWise, Morgan Stanley Research

Exhibit 72: Socio-Economic Class Distribution



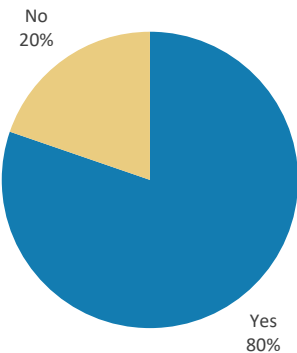
Source: AlphaWise, Morgan Stanley Research

Exhibit 73: Employment Status Distribution



Source: AlphaWise, Morgan Stanley Research

Exhibit 74: Receive INSS Benefits (within the Retired Group)



Source: AlphaWise, Morgan Stanley Research

Risk Reward – Nu Holdings Ltd. (NU.N) Top Pick

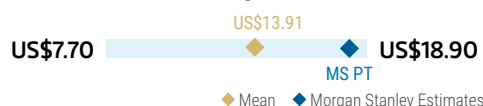
Overweight on attractive growth avenues and secular tailwinds

PRICE TARGET US\$18.00

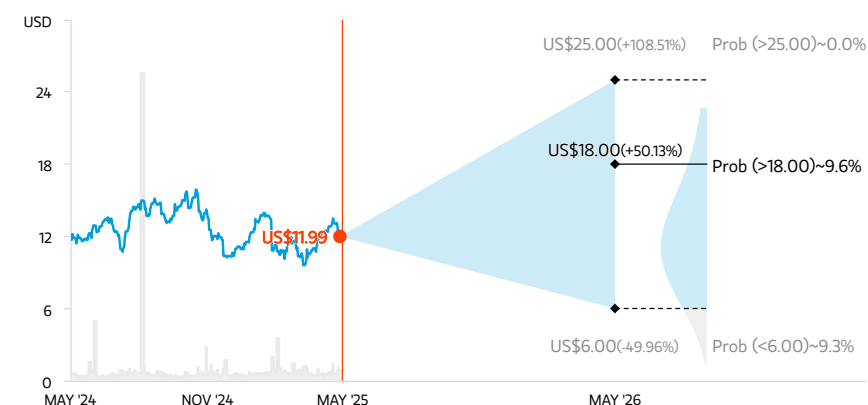
Our valuation work and price targets are based on residual income analysis. In our residual income model, the value of the firm is mainly a function of the magnitude of the spread between return on equity and cost of equity (performance spread) and the time period in which management can generate returns in excess of the cost of equity (economic growth horizon). Our valuation model uses a discount rate of 14.6% and long-term ROE of 30%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 May 2025. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

US\$25.00

Faster industry growth & successful cross selling

Secular industry trends surprise to the upside, digitalization and penetration of financial products grow faster than expected. Nubank can capitalize on its huge and loyal customer base by cross selling an increasing number of products, significantly improving client monetization. As a result, top line growth accelerates, while operating leverage allows additional revenues to flow down to the bottom line, supporting higher sustainable ROEs.

BASE CASE

US\$18.00

Secular tailwinds & Latam expansion

Financial inclusion and credit penetration continue to improve on the back of currently low bancarization levels in Latam and ongoing digitalization trends. Nubank can successfully expand into new geographies, continuing to add new clients at a healthy pace, and launching new products in parallel. The company navigates competition effectively and gains market share. Its highly scalable business model drives attractive operating leverage and sustainable ROEs.

BEAR CASE

US\$6.00

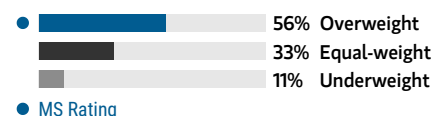
Regulatory headwinds & tougher competition

Macro outlook deteriorates and industry growth slows down more than expected. Competition gets tougher, as new players and incumbents successfully expand digital banking initiatives. Expansion to new geographies and product launches take longer than expected to gain traction, resulting in relatively slower revenue growth. Regulatory hurdles increase pressuring profitability in the short term.

OVERWEIGHT THESIS

Nubank is well on its way to building the largest and most profitable banking franchise in Latam, with superior technology, best-in-class customer satisfaction, and strong cohort performance and unit economics. And the company still has attractive avenues to increase top line growth, including the cross-sell of newer products (like payroll loans) to a huge and loyal client base and expanding in new geographies (i.e., MX & CO). We think the market continues to underestimate its ability to deliver growth and profitability. We see long-term ROE ~30% on the back of strong revenue growth and operating leverage.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: Positive
Disruption: Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Nu Holdings Ltd. (NU.N)

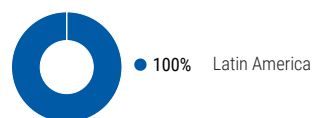
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Active Clients (MM)	94.9	107.0	119.4	133.1
Net Revenue (YoY, %) (%)	43.4	31.6	33.9	26.0
Gross Profit (YoY, %) (%)	50.5	28.7	50.7	37.8
Card Receivables (YoY, %) (%)	(1.2)	31.3	17.3	18.3
Loan to Customers (YoY, %) (%)	66.2	132.7	81.0	40.9

INVESTMENT DRIVERS

- Financial inclusion and credit penetration
- New client additions
- Roll out & cross sell of products
- Geographical expansion
- M&A
- New business verticals and products

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increasing penetration of financial products in LatAm
- Successful geographical expansion
- New products added to the platform
- Improving cross-sell initiatives
- M&A

RISKS TO DOWNSIDE

- Asset quality deterioration
- Regulatory headwinds
- Tougher competition could impact margins
- Execution risk of international expansion
- Potential conflicts of interest between controlling and minority holders

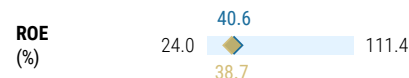
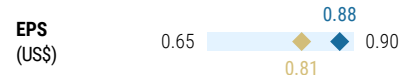
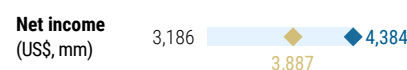
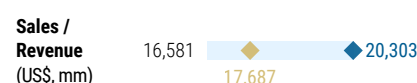
OWNERSHIP POSITIONING

Inst. Owners, % Active	80.7%	
HF Sector Long/Short Ratio	1.5x	
HF Sector Net Exposure	11.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Latam Financials Trading Comps

Exhibit 75: Latin America Financial Institutions Trading Comparables

LatAm Banks - Summary Comps																											
	Coverage	MS Rating	Price	Price	Upside	P/BV	EPS			P / E			ROE (%)	Price Performance in US\$ (%)								52-week		Market Cap	Daily Vol. (US\$ MM)		Div. Yield
			26-May-25	Target	(%)		24e	25e	26e	24e	25e	26e	25e	1d	1w	1m	3m	6m	12m	YTD	2024	High	Low	(US\$ MM)	1-Year	1-Month	25e (%)
ARGENTINA																											
BBVA Argentina	\$/ADR	O	21.7	24.5	13	1.8x	1.86	1.79	2.72	11.7x	12.1x	8.0x	12.6	-	(3)	2	14	32	120	14	250	25.0	7.1	4,424	14	16	2.1
GF Galicia	\$/ADR	O	62.9	83.0	32	1.9x	11.47	6.54	9.28	5.5x	9.6x	6.8x	14.6	-	(1)	(1)	9	12	94	1	261	74.0	23.5	9,985	70	81	5.7
Macro	\$/ADR	O	94.3	113.0	20	1.7x	5.75	9.17	13.76	16.4x	10.3x	6.9x	12.8	-	(2)	1	9	15	62	(3)	237	118.4	42.2	6,027	29	30	-
Supervielle	\$/ADR	O	15.7	17.5	11	1.9x	1.57	1.48	2.06	10.0x	10.6x	7.6x	13.7	-	(5)	(1)	15	38	142	4	272	19.8	5.0	1,374	15	16	1.5
Argentine Financials														-	(2)	0	10	19	93	3	253			21,811	128	143	3.1
MSCI Argentina			9,242											-	(2)	6	6	2	60	(4)	109	10,693	4,855				
BRAZIL																											
Banco do Brasil	R\$/ON	O	24.7	45.0	82	0.8x	6.61	6.85	7.61	3.7x	3.6x	3.2x	18.8	1	(2)	(12)	(11)	1	(17)	12	(32)	30.0	23.7	24,958	91	158	11.1
Bradesco	\$/ADR	O	2.8	3.9	39	1.0x	0.33	0.39	0.44	8.4x	7.2x	6.4x	14.0	-	0	18	35	24	12	47	(45)	3.0	1.8	29,616	171	227	7.0
Itaú Unibanco	\$/ADR	O	6.7	7.5	13	2.1x	0.70	0.70	0.75	9.6x	9.5x	8.9x	22.3	-	(2)	8	28	27	19	47	(29)	6.9	4.4	71,714	282	370	7.4
Santander Brasil	\$/ADR	O	5.3	7.0	32	1.2x	0.67	0.72	0.80	8.0x	7.3x	6.6x	16.6	-	(2)	7	14	21	(2)	36	(40)	5.8	3.8	19,871	17	16	7.5
Banrisul	R\$/PNB	NC	12.3	--	--	0.5x	2.23	2.46	2.33	5.5x	5.0x	5.3x	N/A	1	1	10	16	16	0	32	(41)	13.4	9.6	888	3	3	-
Banco BTG Pactual	R\$/ON	O	40.0	50.0	25	2.5x	3.09	3.63	4.18	12.9x	11.0x	9.6x	20.9	1	(2)	9	25	29	13	61	(44)	41.1	26.7	26,856	53	56	3.6
Banco Pan	R\$/ON	O	8.5	9.5	12	1.4x	0.61	0.86	1.21	14.0x	9.8x	7.0x	11.9	(0)	10	13	23	20	(17)	47	(43)	10.9	6.1	1,904	3	2	4.1
Nubank	\$/O	O	12.0	18.0	50	7.0x	0.39	0.55	0.88	30.4x	21.8x	13.7x	25.5	-	(8)	(0)	7	(11)	2	16	24	16.1	9.0	59,955	546	692	-
Inter & Co	\$/O	U	7.2	4.0	(44)	2.0x	0.38	0.46	0.51	18.8x	15.8x	14.0x	12.1	-	3	7	34	36	10	70	(24)	7.8	3.9	3,153	28	34	0.5
XP Inc	\$/O	O	18.6	24.0	29	2.7x	1.49	1.58	1.83	12.5x	11.8x	10.2x	22.1	-	0	17	27	25	(0)	57	(55)	20.4	10.8	10,057	108	146	2.5
B3	R\$/ON	O	14.3	18.5	29	4.0x	0.83	0.96	1.12	17.2x	14.9x	12.8x	26.9	(0)	(4)	7	35	51	17	53	(45)	15.1	9.0	13,278	92	120	6.7
Stone	\$/O	++	13.3	++	--	1.8x	(0.76)	1.28	1.23	NA	10.4x	10.8x	16.4	-	(1)	(3)	37	28	(7)	67	(56)	15.1	7.7	3,716	65	78	-
PagSeguro	\$/O	U	8.6	5.0	(42)	1.0x	1.19	1.14	1.12	7.2x	7.6x	7.7x	12.3	-	(4)	(13)	10	11	(30)	38	(50)	14.8	6.1	2,640	46	57	-
Porto Seguro	R\$/ON	O	49.6	48.0	(3)	2.4x	4.09	4.77	5.25	12.1x	10.4x	9.4x	21.1	0	0	17	30	34	48	49	(1)	49.9	29.0	5,677	12	15	4.3
BB Seguridade	R\$/ON	U	38.0	33.0	(13)	6.9x	4.19	4.50	4.82	9.1x	8.4x	7.9x	96.8	(0)	(1)	(10)	3	16	6	15	(16)	42.8	31.9	13,009	31	39	11.1
Caixa Seguridade	R\$/ON	O	15.1	17.0	12	6.4x	1.30	1.41	1.56	11.6x	10.7x	9.7x	65.5	(1)	(1)	(9)	(1)	7	(12)	17	(14)	16.8	13.4	8,008	11	14	8.5
IRB	R\$/ON	NC	48.0	--	--	0.8x	4.52	6.44	8.01	10.6x	7.4x	6.0x	N/A	4	2	0	(11)	21	29	24	(25)	58.0	27.5	693	11	11	-
Brazil Financials														0	(3)	5	18	17	7	37	(23)			295,991	1,568	2,038	7.1
MSCI Brazil			1,398											-	(3)	2	7	3	(8)	19	(35)	1,574	1,172				
CHILE																											
Banco de Chile	\$/ADR	E	31.1	27.0	(13)	2.7x	2.50	2.27	2.37	12.4x	13.7x	13.1x	19.2	-	(1)	1	16	36	29	37	(2)	31.8	22.1	15,698	18	24	5.1
Santander Chile	\$/ADR	E	25.0	24.0	(4)	2.5x	1.91	2.04	2.22	13.1x	12.3x	11.3x	20.6	-	(1)	2	14	32	26	33	(3)	25.5	18.2	11,797	13	19	5.7
Chile Financials														-	(1)	2	15	34	27	35	(2)			27,495	31	43	5.4
MSCI Chile			1,267											-	(0)	5	11	27	13	27	(9)	1,283	943				
MEXICO																											
Banorte	MS/O	E	172.3	190.0	10	1.8x	19.78	21.05	22.01	8.7x	8.2x	7.8x	19.0	(0)	(2)	7	24	39	(9)	39	(36)	180.8	130.0	25,247	60	65	7.9
Banco del Bajío	MS/O	E	51.0	62.0	22	1.3x	8.98	7.92	8.03	5.7x	6.4x	6.4x	17.2	1	(1)	7	16	25	(27)	32	(40)	62.3	40.0	3,160	7	4	7.8
Qualitas	MS/O	E	209.7	207.0	(1)	3.1x	12.98	17.90	17.31	16.2x	11.7x	12.1x	25.4	(1)	(3)	1	15	56	(7)	29	(17)	237.2	130.0	4,309	8	7	6.0
Inbursa	MS/O	NC	50.0	--	--	1.1x	5.56	5.96	6.31	9.0x	8.4x	7.9x	N/A	(2)	(3)	(6)	11	16	(5)	25	(24)	55.0	41.1	15,824	4	3	-
Banregio	MS/O	NC	152.9	--	--	1.5x	19.85	21.03	22.40	7.7x	7.3x	6.8x	N/A	0	(2)	6	21	44	(8)	41	(41)	160.0	112.1	2,612	5	4	-
Geniera	MS/O	NC	37.5	--	--	1.8x	4.09	4.77	5.49	9.2x	7.9x	6.8x	N/A	(0)	(4)	12	38	64	32	67	(16)	40.0	20.0	3,088	5	8	-
Bolsa Mexicana	MS/O	NC	42.5	--	--	3.0x	2.92	2.94	3.13	14.6x	14.4x	13.6x	N/A	(0)	0	8	24	44	19	38	(23)	45.2	26.5	1,238	3	3	-
Mexico Financials														(1)	(2)	3	20	35	(6)	36	(30)			55,478	92	95	7.7
MSCI Mexico			6,312											-	1	4	17	25	(7)	27	(30)	6,786	4,932				
OTHER																											
dLocal	\$/O	E	11.3	11.0	(2)	6.2x	0.40	0.59	0.76	28.3x	19.0x	14.8x	33.8	-	(4)	21	(13)	(1)	18	-	(36)	14.3	6.6	3,388	14	9	-
Credicorp	\$/ADR	E	204.2	210.0	3	1.7x	18.45	21.44	22.59	11.1x	9.5x	9.0x	17.3	-	6	3	13	7	24	11	22	210.7	153.3	16,210	47	56	5.2
Intercomp	\$/ADR	NC	36.7	--	--	1.4x	2.52	4.34	5.08	14.6x	8.5x	7.2x	N/A	-	3	14	16	31	62	25	34	36.9	21.4	4,148	4	8	-
Bancolombia	\$/ADR	O	41.6	55.0	32	1.0x	6.29	6.34	6.70	6.6x	6.6x	6.2x	16.7	-	(0)	(2)	(4)	26	18	32	2	44.9	30.2	9,996	22	27	8.4
Grupo Aval	\$/ADR	NC	2.8	--	--	0.8x	0.21	0.38	0.51	13.8x	7.4x	5.6x	N/A	-	(1)	1	(10)	37	15	39	(16)	3.3	1.9	3,348	0	0	-
Davienvia	Co\$/PFD	NC	23,100	--	--	0.7x	(142)	2,810	4,273	NA	8.2x	5.4x	N/A	(1)	(2)	10	11	29	(1)	40	(21)	24,420	17,200	2,713	0	0	-
Grupo Sura	Co\$/PFD	NC	38,400	--	--	0.6x	11,760	5,675	6,057	3.3x	6.8x	6.3x	N/A	0	2	4	0	75	42	57	67	39,600	19,700	3,654	1	1	-
Bladex	\$/ADR	NC	40.6	--	--	1.1x	5.60	5.94	6.41	7.3x	6.8x	6.3x	N/A	-	2	5	6	22	34	14	44	42.9	27.4	1,510	4	4	-
Other Latam Financials														(0)	2	5	4	22	25	24	13			44,967	93	106	6.4
MSCI LatAm			2,249											-	(1)	2	10	10	(7)	21	(30)	2,409	1,843				
Latin America Financials														0	(2)	4	16	21	13	34	(5)			445,741	1,913	2,426	6.8

Valuation Methodology and Risks

Mercadolibre Inc. (MELI.O)

Our end-2025 price target is derived from a DCF analysis which assumes 13.2% cost of capital, 6.5% terminal growth rate, and 23.5% terminal EBIT margins for the whole company. PT implies ~22x 2026e EV/EBITDA and ~38x 2026e P/E for the whole business.

Risks to Upside

Expansion into new business lines and TAMs
Competition in eCommerce and fintech eases
Scale supports greater margin flow-through
LatAm macro/rates headwinds ease, including BZ, MX, AR

Risks to Downside

Competitors (incl. int'l) ramp their focus on LatAm
Inability to monetize fintech services and grow credit
Commerce headwinds expanding beyond the core
LatAm macro/rates headwinds worsen, including BZ, MX, AR

Disclosure Section

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(as of April 30, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1501	40%	377	46%	25%	691	40%
Equal-weight/Hold	1667	44%	375	45%	22%	796	46%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	603	16%	76	9%	13%	229	13%
Total	3,774		828			1717	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Mercadolibre Inc. (MELI.O) - As of 05/27/25 GMT in USD
Industry : LatAm Retail & eCommerce



Stock Rating History: 5/1/20 : 0/NR

Price Target History: 3/30/20 : 680; 5/6/20 : 760; 5/26/20 : 900; 6/21/20 : 1010; 8/11/20 : 1210; 10/13/20 : 1300; 11/4/20 : 1500; 12/14/20 : 1840; 3/1/21 : 1970; 5/14/21 : 2260; 9/29/21 : 2420; 12/15/21 : 2120; 1/27/22 : 1860; 5/9/22 : 1690; 7/20/22 : 1480; 8/4/22 : 1550; 2/3/23 : 1590; 2/26/23 : 1620; 3/30/23 : 1770; 8/6/23 : 1840; 11/5/23 : 2020; 2/11/24 : 2065; 8/4/24 : 2175; 9/19/24 : 2500; 11/10/24 : 2450; 1/9/25 : 2400; 2/23/25 : 2650; 4/9/25 : 2560; 5/11/25 : 2850

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target - - - No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) - - - Stock Price (Covered by Current Analyst) - - -
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Ratings/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Nu Holdings Ltd. (NU.N) - As of 05/27/25 GMT in USD
Industry : Brazil Financial Institutions



Stock Rating History: 5/1/20 : NR; 1/3/22 : 0/NR

Price Target History: 1/3/22 : 16; 5/24/22 : 14; 8/17/22 : 12.5; 11/16/22 : 10.75; 3/3/23 : 10; 5/1/23 : 11; 10/18/23 : 16; 8/20/24 : 18

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target - - - No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) - - - Stock Price (Covered by Current Analyst) - - -
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Ratings/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Brazil Financial Institutions

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/26/2025)
Jorge Echevarria		
BB Seguridade Participacoes S.A. (BBSE3.SA)	U (06/25/2023)	R\$37.96
Caixa Seguridade Participacoes S.A. (CXSE3.SA)	O (06/10/2021)	R\$15.12
Porto Seguro (PSSA3.SA)	O (11/02/2022)	R\$49.56
Jorge Kuri		
B3 SA BRASIL BOLSA BALCAO (B3SA3.SA)	O (05/12/2025)	R\$14.33
Banco Bradesco (BBD.N)	O (08/07/2019)	US\$2.80
Banco BTG Pactual SA (BPAC11.SA)	O (03/28/2017)	R\$39.95
Banco do Brasil (BBAS3.SA)	O (03/07/2018)	R\$24.67
Banco Pan SA (BPAN4.SA)	O (11/29/2022)	R\$8.50
Banco Santander Brasil (BSBR.N)	O (08/07/2019)	US\$5.30
Inter & Co Inc. (INTR.O)	U (06/13/2018)	US\$7.17
Itau Unibanco Holding S.A. (ITUB.N)	O (06/17/2024)	US\$6.65
Nu Holdings Ltd. (NU.N)	O (01/03/2022)	US\$11.99
PagSeguro Digital (PAGS.N)	U (09/04/2024)	US\$8.64
StoneCo Ltd. (STNE.O)	++	US\$13.28
XP Inc (XP.O)	O (05/12/2025)	US\$18.64

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: LatAm Retail & eCommerce

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/23/2025)
Alexandre K Namioka, CFA		
Vivara Participacoes SA (VIVA3.SA)	O (08/26/2024)	R\$25.58
Andrew R Ruben		
Atacadao S.A. (CRFB3.SA)	E (03/16/2025)	R\$8.47
BBB Foods Inc (TBBB.N)	E (03/05/2024)	US\$29.80
C&A Modas S.A. (CEAB3.SA)	E (04/03/2024)	R\$17.21
Cencosud SA (CENCOSUD.SN)	E (12/15/2021)	Ch\$3,255.00
Companhia Brasileira de Distribuicao (PCAR3.SA)	E (01/06/2020)	R\$3.09
El Puerto de Liverpool SAB de CV (LIVEPOLC1.MX)		M\$97.07
Falabella S.A. (FALABELLA.SN)	E (03/16/2025)	Ch\$4,857.00
Grupo Casas Bahia S.A. (BHIA3.SA)	U (12/15/2021)	R\$4.16
Lojas Renner SA (LREN3.SA)	O (10/10/2024)	R\$17.74
Magazine Luiza S.A. (MGLU3.SA)	U (01/15/2024)	R\$9.04
Meliuz S.A. (CASH3.SA)	E (09/20/2021)	R\$7.71
Mercadolibre Inc. (MELI.O)	O (01/06/2020)	US\$2,507.83
Mobly S.A. (MBLY3.SA)	E (11/12/2021)	R\$0.94
Natura & Co Holding SA (NTCO3.SA)	E (08/06/2020)	R\$10.55
Pet Center Comercio e Participacoes S.A. (PETZ3.SA)	++	R\$4.34
Sendas Distribuidora S.A. (ASAI3.SA)	E (09/30/2024)	R\$10.65
Wal-Mart de Mexico (WALMEX.MX)	O (01/06/2020)	M\$65.49

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